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Roadmap

Carve-Out Financial Statements

September 2024

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SEC Comment Letter Considerations, Including Industry Insights

Segment Reporting

Share-Based Payment Awards

Statement of Cash Flows

Transfers and Servicing of Financial Assets

Contents

Preface vii

On the Radar viii

Contacts xi

Chapter 1 — Key Concepts Related to Carve-Out Financial Statements 1

1.1 Introduction 1

1.2 Identifying the Form and Content of the Carve-Out Financial Statements and the Operations of the Carve-Out Entity 2

1.2.1 Form and Content of the Carve-Out Financial Statements 2

1.2.2 Basis of Presentation: Identifying the Carve-Out Entity's Assets, Liabilities, and Operations 3

1.2.2.1 Legal Entity Approach 4

1.2.2.2 Management Approach 5

1.2.3 Spin-Offs and Reverse Spin-Offs 6

1.2.4 Common-Control Transactions 8

1.3 Considerations for Management 8

1.3.1 Identifying the Carve-Out Entity and the Carve-Out Financial Statements 8

1.3.2 Assembling the Right Team 8

1.3.3 Materiality and Evaluating Misstatements 9

1.3.4 Internal Controls 9

1.3.5 Supporting Documentation 9

1.3.6 Significant Judgments and Estimates 9

1.3.7 Working With Auditors 10

Chapter 2 — Accounting Considerations Related to a Carve-Out Entity's Statement of Financial Position 12

2.1 Parent-Entity Net Investment in the Carve-Out Entity 13

2.2 Goodwill 13

2.2.1 Identifying Operating Segments and Reporting Units 14

2.2.2 Goodwill Impairment Testing 14

2.2.3 Disclosure Considerations 15

2.2.4 Additional Parent-Entity Considerations 16

2.3 Other Long-Lived Assets — Impairment Testing 16

2.4 Parent-Entity Debt 17

2.5 Defined Benefit Plans **17**
2.5.1 Multiemployer Approach 17
2.5.2 Allocation Approach 17
2.5.3 Other Considerations 18
2.5.4 Parent-Entity Considerations 18
2.6 Derivatives and Hedging **18**
2.7 Contingencies **19**
2.8 Other Assets and Liabilities **19**
2.8.1 Working Capital 19
2.8.2 Deferred Compensation 20
2.8.3 Self-Insurance Accruals 20
2.8.4 Right-of-Use Assets and Lease Liabilities 20
2.8.5 Expected Credit Losses 21

Chapter 3 — Accounting Considerations Related to a Carve-Out Entity's Statement of Comprehensive Income **22**
3.1 Expenses Clearly Applicable **22**
3.2 Intercompany Transactions **24**
3.2.1 Internal Controls Over Intercompany Balances and Activities 24
3.3 Allocation of Cash-Based Compensation Expense **24**
3.4 Share-Based Payment Awards **25**
3.4.1 Modifications to Awards 25
3.4.1.1 Incremental Compensation Costs From a Modification 25
3.4.1.2 Costs Associated With the Acceleration of Vesting 26
3.5 Income Taxes **27**
3.6 Exit or Disposal Costs **27**
3.7 Transaction-Related Costs **28**
3.8 Post-Carve-Out Transaction Agreements **28**

Chapter 4 — Other Accounting and Financial Reporting Items **29**
4.1 Statement of Cash Flows **29**
4.1.1 Intercompany Transactions 29
4.2 Discontinued Operations **30**
4.2.1 Discontinued Operations — Carve-Out Entity 30
4.2.2 Discontinued Operations — Parent 30
4.3 Earnings per Share **30**
4.4 Accounting Policies of the Carve-Out Entity **31**
4.5 Segment Reporting **32**
4.6 Related-Party Disclosures **32**
4.7 Subsequent Events **32**
4.7.1 Disclosure of Date Through Which Subsequent Events Were Evaluated — Initial Registration Statement 34
4.8 Effective Dates for Certain Accounting Standards **34**

Chapter 5 — SEC Reporting Topics 35

5.1 Financial Statements for a Registrant and Its Predecessor 36

5.2 Financial Statements of Businesses Acquired or to Be Acquired (SEC Regulation S-X, Rule 3-05) 37

5.2.1 Form and Content of Acquiree Carve-Out Financial Statements 38

5.2.2 Public Business Entities 38

5.2.3 Abbreviated Financial Statements 39

5.2.4 Other Considerations Related to Carve-Out Financial Statements of an Acquiree 39

5.3 Acquired or to Be Acquired Real Estate Operations (SEC Regulation S-X, Rule 3-14) 39

5.4 Pro Forma Financial Information 40

5.4.1 Pro Forma Adjustments 41

5.4.2 Autonomous Entity Adjustments 41

5.5 Rule 3-13 Waivers 42

Appendix A — Titles of Standards and Other Literature 43

Appendix B — Abbreviations 46

Appendix C — Roadmap Updates for 2024 47

Preface

We are pleased to present the 2024 edition of *Carve-Out Financial Statements*. This Roadmap discusses key factors for entities to consider as they prepare their carve-out financial statements.

"Carve-out financial statements" is a general term used to describe financial statements derived from the financial statements of a larger parent entity. Such statements are often required when a parent entity wishes to pursue a sale, spin-off, initial public offering (IPO), or special-purpose acquisition company (SPAC) transaction involving a portion of the parent entity. In addition, and as the name implies, carve-out financial statements are necessary in various types of transactions as a means of reflecting the portion of a parent entity's balances and activities that is being "carved out." Certain SEC staff guidance addresses some elements of carve-out financial statements (e.g., when to include them in an SEC filing), and parent entities often refer to the SEC staff's guidance on preparing financial statements for nonpublic carve-out entities. However, there is no single source of comprehensive guidance on preparing carve-out financial statements.

The 2024 edition of the Roadmap includes updated and expanded guidance. Appendix C highlights substantive changes made to the Roadmap since issuance of the 2023 edition.

Be sure to check out On the Radar (also available as a stand-alone publication), which briefly summarizes emerging issues and trends related to the accounting and financial reporting topics addressed in the Roadmap.

This Roadmap is intended to be a helpful guide but is not a substitute for consulting with professional advisers on complex accounting questions and transactions. We hope that you will find this publication useful in dealing with carve-out financial statements.

On the Radar

The volume of IPO and SPAC transactions has decreased since reaching record levels in 2020 and 2021; however, divestiture activity (for which carve-out financial statements are often required) remains strong. As noted in Deloitte's *Divestitures Quarterly Update — Q1 2024*, divestiture activity remained at near-term record levels in the first quarter of 2024 since showing significant growth in the second quarter of 2023 when the number of divestiture deals grew by 99 percent year over year. Divestitures made up 26 percent of total merger and acquisition activity, compared with 11 percent in the first quarter of 2023. At the same time, private equity buyers' interest in divestitures continues to grow significantly, with private equity accounting for 30 percent of the buyers in the first quarter of 2024 compared with 2 percent in the first quarter of 2023.

Providing complete and accurate carve-out financial statements in a timely manner can be key to the success of a divestiture transaction. Accordingly, some key management considerations and common pitfalls associated with preparing such statements are discussed below.

Key Management Considerations and Common Pitfalls Associated With Preparing Carve-Out Financial Statements

Preparing carve-out financial statements can be challenging, often requiring management to use judgment and to carefully plan ahead. Factors and common pitfalls for management to consider when preparing these statements include the following:

- *Assembling the right team* — Involving the appropriate personnel is an integral step in preparing accurate and complete carve-out financial statements. Management should determine which employees can help provide the information it needs to prepare such statements, which may include individuals outside accounting (e.g., in operations or human resources) as well as those involved in negotiating the transaction. In addition, management may need to engage external specialists (e.g., tax or valuation experts).
- *Determining the transaction's structure and scope* — In many divestiture transactions, planning for and preparing carve-out financial statements starts before the final transaction structure is determined or negotiations begin. Identifying the expected structure and which entities or operations will be included within it is a key step in developing the carve-out financial statements. As further discussed in this Roadmap, carve-out financial statements may be in the form of (1) public-entity financial statements subject to SEC requirements, (2) nonpublic-entity financial statements to which certain U.S. GAAP presentation and disclosure requirements do not apply and for which reporting alternatives developed by the Private Company Council (PCC) may be elected, and (3) special-purpose financial information that a user may ask for in a specific form or may request to be prepared in accordance with another comprehensive basis of accounting. Thus, the transaction structure can affect the form and content of the financial statements, the years to be provided, and the audit procedures required.

***Common pitfall* — A lack of communication between the deal team and the preparers of the carve-out financial statements may result in late revisions to such statements because of changes in the structure and scope of the transaction.**

- *Materiality and evaluating misstatements* — Because the materiality thresholds related to the carve-out financial statements will most likely be lower than those associated with the consolidated parent entity, management may need to assess the carve-out entity's accounts and balances in even more detail than they may have been subjected to during preparation of the parent-entity financial statements. The parent entity's historical corrected or uncorrected misstatements and disclosures related to the carve-out entity that were previously considered immaterial to the parent's financial statements would need to be reconsidered on the basis of materiality thresholds applicable to the carve-out financial statements.
- *Internal controls* — Management should design and implement processes and controls for preparing the carve-out financial statements (e.g., management may need to design, implement, and execute controls related to the appropriate determination and recording of income statement and balance sheet allocations to the carve-out financial statements). Although an entity may often be able to leverage existing financial statement preparation controls, management should evaluate whether it needs to modify such controls to accommodate process changes related to preparing the carve-out financial statements.
- *Supporting documentation* — Management should consider the type of documentation necessary to support the assumptions made and results achieved in preparing carve-out financial statements. In some cases, the supporting documentation may already exist (e.g., compensation expense is usually calculated and allocated on an employee-by-employee basis). However, management may need to develop and maintain new documentation for the allocations made for the carve-out financial statements (e.g., a rational and systematic method for allocating selling, general, and administrative expenses). In other cases, intercompany transactions may have historically been eliminated within the parent's financial statements; however, those transactions would be reported in the carve-out financial statements, and appropriate supporting documentation would be required.

  Management may choose to use existing accounting systems as much as possible when preparing carve-out financial statements. However, the ability to use such systems may be limited depending on the level of detail at which the account balances are maintained as well as the structure of the carve-out entity (e.g., whether the carve-out represents a segment of the parent or only part of a segment). If the carve-out entity represents a segment or component for which discrete financial information is readily available, management may be able to readily extract information from its existing accounting records. However, if the carve-out entity includes portions of different segments, further involvement of IT specialists may be required.

***Common pitfall* — Failing to identify the appropriate level of granularity needed in transaction records and support for carve-out financial statements may result in delays and rework.**

- *Significant judgments and estimates* — In preparing carve-out financial statements, management will often need to make significant accounting judgments and estimates related to allocating account balances and activities to the carve-out financial statements and determining the appropriate disclosures to include in these financial statements. Significant estimates include (1) the allocation of goodwill or intangible assets, employee benefits (including pension and postretirement obligations), shared assets, corporate expenses, and income taxes; (2) the identification of operating and reportable segments; and (3) the evaluation of subsequent events.

  ***Common pitfall* — Inadequate documentation and disclosure of key judgments can lead to questions and comments during the audit or SEC review process, if applicable.**

- *Working with auditors* — If, as part of the preparation of carve-out financial statements, external auditors need to perform an audit and issue an audit opinion, the auditors will need to understand the process undertaken by management for collecting and maintaining all supporting documentation used in such preparation. For balances in which judgment or complex estimates are required, management should ensure that its documentation contains enough detail for auditors to reach conclusions about the reasonableness of the amounts allocated to, and balances presented in, the carve-out financial statements. Topics on which up-front and regular dialogue with auditors may help include (1) identifying the carve-out entity and the carve-out entity's financial statements, (2) materiality and evaluating misstatements, (3) internal control over financial reporting, and (4) significant management judgments and accounting estimates.

  ***Common pitfall* — Failure to identify a requirement for an audit early in the process or to maintain close communication between the deal team and the preparers of the carve-out financial statements may result in delays.**

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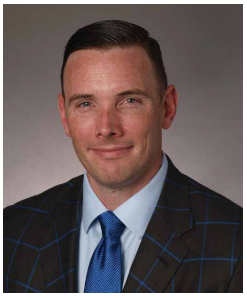

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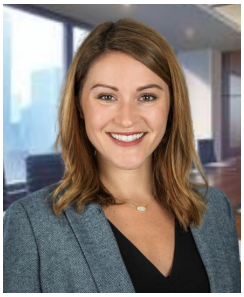

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Chapter 1 — Key Concepts Related to Carve-Out Financial Statements

1.1 Introduction

Carve-out financial statements are prepared to reflect a portion of a parent entity's balances and activities. Examples of transactions in which carve-out financial statements may be requested or required include, but are not limited to, the following:

- *Potential sale* — An entity wishing to dispose of a portion of its assets and operations may prepare carve-out financial statements to help potential acquirers evaluate a prospective transaction.
- *Completed sale* — A public entity acquires, or it is probable that it will acquire, a portion of an entity's business, and the acquisition is deemed "significant" to the acquirer under SEC Regulation S-X, Rule 3-05. Consequently, the acquiring entity may request (or need to have prepared) audited carve-out financial statements of the business acquired for inclusion in a Form 8-K filing, registration statement, or proxy statement of the acquirer.
- *Spin-off* — A public entity plans to distribute a portion of its assets that constitute a business by spinning the business off to its shareholders as a separate public company. Therefore, carve-out financial statements of the spinnee (i.e., the new legal entity spun-off) must be included in the SEC registration statement in connection with the spin-off.
- *Split-off* — A public entity plans to offer to its existing shareholders, in exchange for some or all of the existing shareholders' shares in the public entity, shares in a newly formed entity that represents a portion of its assets that constitute a business (the "splitee"). Therefore, carve-out financial statements of the new legal entity to be split off must be included in the SEC registration statement in connection with the exchange transaction.
- *IPO and SPAC transactions* — An entity wishes to segregate a portion of itself to effect an IPO of a newly created subsidiary or to enter into a transaction with a SPAC. Therefore, carve-out financial statements of the operations to be segregated and transferred to the newly created subsidiary or to a SPAC must be included in the SEC registration statement in connection with the transaction.

Typical SEC filing forms in which carve-out financial statements may be provided include:

- *Form S-1* — Used to register shares of a carve-out entity as a new registrant through an IPO.
- *Form S-4* — Used to register shares of (1) the registrant for the acquisition of a carve-out entity (e.g., if the carve-out entity is acquired by an SEC registrant or a SPAC) or (2) the splitee in a split-off transaction involving the exchange of shares of the splitee for shares of the parent.

- *Form 8-K* — Used to provide financial statements for an acquiree if the acquiree is significant to the registrant that acquired it.
- *Form 10* — Used to register classes of securities for which no other form is prescribed, such as spin-off transactions in which shares are distributed to the parent company's shareholders.

Also, the parent may be required to provide pro forma financial information reflecting the disposition of a significant business or asset in either a current report on Form 8-K or certain registration statements.

As noted above, there are numerous types of transactions for which carve-out financial statements are warranted. The nature of the transaction will affect both the needs of financial statement users and the applicability of regulatory requirements. In addition, the nature and significance of the transaction may affect the form and content of the carve-out financial statements (including the number of historical periods that need to be presented in the financial statements) and the identification of the carve-out entity's operations.

1.2 Identifying the Form and Content of the Carve-Out Financial Statements and the Operations of the Carve-Out Entity

1.2.1 Form and Content of the Carve-Out Financial Statements

The form and content of the carve-out financial statements depend on the needs or requirements of the users of the financial statements and any regulatory requirements applicable to the transaction for which the carve-out financial statements are being prepared.

The most common types of carve-out financial statements include:

- *Public-entity financial statements:*
  - *Registrant, predecessor, or Rule 3-05* — A registrant and its predecessor[1] may need to prepare carve-out financial statements for an initial registration statement filed with the SEC as well as in Forms 10-K and 10-Q filed after the initial registration statement. If so, the financial statements must comply with the general financial statement requirements in SEC Regulation S-X, Rules 3-01 through 3-04. Carve-out financial statements may also be required for a significant acquired or to be acquired business in accordance with Rule 3-05 in certain SEC filings. See Sections 5.1 and 5.2 for additional information about the financial statement requirements applicable to a registrant and its predecessor and financial statements of businesses acquired or to be acquired in an SEC filing.
  - *Abbreviated financial information* — In accordance with Rule 3-05, abbreviated financial information may at times be provided for significant acquired or to be acquired businesses in certain SEC filings. These abbreviated financial statements typically consist of a statement of revenues and direct expenses (in lieu of a full statement of operations) and a statement of assets acquired and liabilities assumed (in lieu of a full balance sheet). Abbreviated income statements for acquired or to be acquired real estate operations in accordance with SEC Regulation S-X, Rule 3-14, may also be provided. See Sections 5.2.3 and 5.3 for more information about when abbreviated financial information may be appropriate.

[1] It is important to determine the appropriate predecessor in an SEC filing since this determination will affect which financial statements must be included in an SEC filing, as well as other considerations. In certain circumstances, there could be more than one predecessor.

- *Nonpublic-entity financial statements* — Certain U.S. GAAP presentation and disclosure requirements do not apply to nonpublic entities. In addition, nonpublic entities may elect to apply reporting alternatives developed by the PCC. Nonpublic-entity carve-out financial statements in which PCC accounting alternatives have been elected may be appropriate when the financial statements are not included or expected to be included in an SEC filing.
- *Special-purpose financial information* — A user may ask for financial information in a specific form or for it to be prepared in accordance with another comprehensive basis of accounting. While such information may be prepared to suit the user's request, there will most likely be restrictions on the use of such information as well as the level of attestation available. Further, since the form and content of financial statements to be included in SEC filings are prescribed, the financial information prepared under a special-purpose framework may not be usable for SEC filings.

In addition, preparers of carve-out financial statements should discuss with their auditor the level of assurance that may be provided for the planned form and content. If the carve-out financial statements are reissued, the auditor may be required to reissue its opinion(s) or other form of attestation. Changes in the intended users of the carve-out financial statements or in the planned form and content of the carve-out entity's financial information may change the level of assurance sought or that can be provided. Accordingly, any such changes should be monitored throughout the carve-out transaction process.

1.2.2 Basis of Presentation: Identifying the Carve-Out Entity's Assets, Liabilities, and Operations

The business or activities associated with a carve-out transaction provide the basis for identifying the assets, liabilities, and operations to be included in the carve-out financial statements. Since a carve-out entity is a subset of a larger parent, there may be complexities associated with the preparation of the carve-out entity's financial statements. Such complexities are particularly likely when the business of the carve-out entity has not been organized separately within the larger parent entity and when significant assets, liabilities, and operations are shared with other businesses (see Chapters 2, 3, and 4 for related accounting considerations).

Carve-out financial statements should include disclosures that give users the information they need to understand the basis of presentation (e.g., a description of the business or activities included in the carve-out financial statements; an explanation of how assets, liabilities, and operations of the carve-out entity were identified; and an indication of whether the carve-out financial statements are consolidated or combined).[2]

Entities typically use one of two approaches to prepare carve-out financial statements. These approaches, which are sometimes referred to as the "legal entity" approach and the "management" approach, are discussed in additional detail below.

Before filing carve-out financial statements with the SEC, an entity may wish to discuss its proposed basis for presenting such statements with both its accounting advisers and the SEC staff. Doing so may help alleviate questions concerning the basis of presentation and facilitate any subsequent SEC staff reviews.

[2] The ASC master glossary defines consolidated financial statements as "[t]he financial statements of a consolidated group of entities that include a parent and all its subsidiaries presented as those of a single economic entity" and combined financial statements as "[t]he financial statements of a combined group of commonly controlled entities or commonly managed entities presented as those of a single economic entity. The combined group does not include the parent." While carve-out financial statements are either consolidated or combined, in situations involving the contribution of operations under common control to a newly formed holding company (i.e., no change in basis), the financial statements might be (1) combined for the period(s) before the contribution of the operations and (2) consolidated for the period(s) after the contribution of the operations.

1.2.2.1 Legal Entity Approach

If an entity selects the legal entity approach, it includes in the carve-out financial statements all of the legal entities (subsidiaries) that have historically been part of the carve-out entity, even if some of the legal entities or some of the assets, liabilities, or operations will not be transferred as part of the carve-out transaction (i.e., the retained operations). Under the legal entity approach, the retained operations are included in the carve-out financial statements until the transfer to the parent occurs, which may not be until the effective date of the carve-out transaction. Once the transfer occurs, management must determine whether the retained operations meet the criteria to be classified as a discontinued operation in the carve-out financial statements. Therefore, carve-out financial statements prepared under this approach may reflect assets, liabilities, and operations that will not be divested by the parent as part of the transaction.

SAB Topic 5.Z.7 provides a modification to the "pure" legal entity approach described above for an entity that files an initial registration statement as long as all of the following criteria are met:

- Financial statements that include the spun-off subsidiary have not been widely distributed.
- The spin-off occurs before the applicable registration statement is effective.
- The carve-out entity and retained operations are in dissimilar businesses, and the differences in the nature of the business are substantially greater than the differences that would normally be used to distinguish reportable segments. See Chapter 3 of Deloitte's Roadmap *Segment Reporting* for details about evaluating segments.
- The carve-out entity and retained operations have historically been managed and financed autonomously.
- The carve-out entity and retained operations have no more than incidental common facilities and costs, will be operated and financed autonomously after the spin-off, and will not have material financial commitments, guarantees, or contingent liabilities with each other after the spin-off.

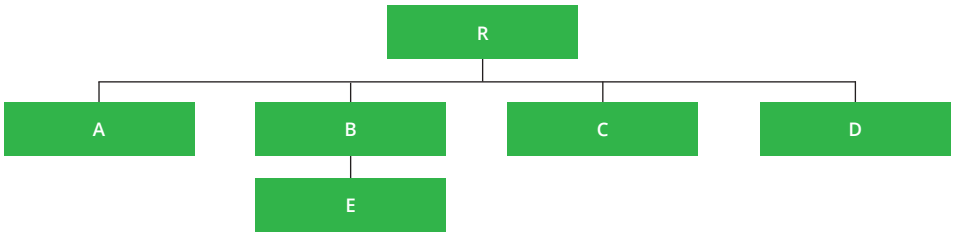
If all the above conditions are met, SAB Topic 5.Z.7 permits the removal of the retained operations from the carve-out financial statements for all periods presented even if the legal entities included in the carve-out financial statements controlled the retained operations during those prior periods. This accommodation reflects the transfer of the retained operations as a change in reporting entity along with retrospective revision of the historical financial statements of the carve-out entities as if the retained operations had never been controlled by such entities.

Example 1-1

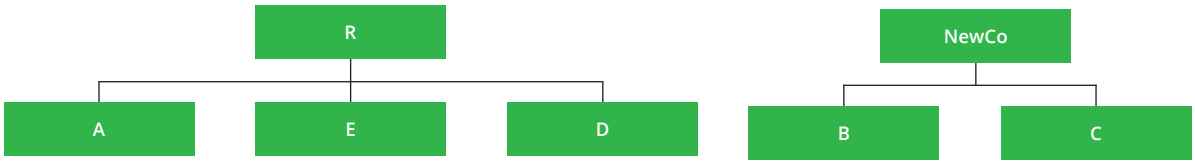
Identifying the Financial Statements of the Registrant — Carve Out of an Existing Legal Entity

Registrant R's reporting structure includes four direct consolidated subsidiaries. One of the subsidiaries, B, has a consolidated subsidiary, E. As part of a strategic review of its operations, R determines that a spin-off of B and C would provide additional value to shareholders. Accordingly, R creates a new company, NewCo, and prepares carve-out financial statements by using the historical results of B and C. While E is a subsidiary of B for financial reporting purposes, R intends to retain E. Before the contribution of B and C to NewCo, which is expected to occur shortly before the spin-off, B will transfer its ownership interest in E to its parent, R. The charts below show the existing and intended organizational structure.

Structure Before Reorganization



Structure After Reorganization



When preparing the carve-out financial statements to be included in NewCo's Form 10 registration statement, management has concluded that it will apply the legal entity approach and that the criteria in SAB Topic 5.Z.7 have not been met. Accordingly, the carve-out financial statements would reflect the operations of B and C, including B's consolidated subsidiary E, which R will retain. NewCo would reflect the transfer of E in the pro forma financial information presented in the Form 10 and evaluate whether E meets the criteria to be reported as discontinued operations in the carve-out financial statements. Alternatively, if management had concluded that the conditions of SAB Topic 5.Z.7 had been met, the carve-out financial statements would reflect the operations of B and C but would exclude E for all periods presented.

1.2.2.2 Management Approach

Under the management approach, the carve-out financial statements only include those assets, liabilities, and operations that will ultimately comprise the new reporting entity as of the effective date of the transaction. Therefore, if certain assets, liabilities, subsidiaries, or operations will be retained by the parent, or transferred to the parent in a common-control transaction as of the effective date of the transaction, such net assets and operations would not be included in the historical carve-out financial statements. This basis of presentation reflects the carve-out entity in the form management expects to run the business rather than the legal entities included in the transaction. The management approach is commonly used when the transaction will be executed by transferring assets, liabilities, and operations, rather than by transferring legal entities, or when the legal structure does not reflect the carve-out business.

Example 1-2

SEC Registrant Z has four reportable segments. As part of a strategic review of its operations, Z determines that a spin-off of Segment 2 would provide additional value to shareholders. Accordingly, Z creates a new company, NewCo, and prepares carve-out financial statements by using the historical results of Segment 2. Rather than transferring legal entities, Z intends to transfer the assets, liabilities and operations of Segment 2 to NewCo in advance of the spin-off. Under the management approach, the carve-out financial statements would reflect the operations of Segment 2, for all periods, irrespective of which legal entities held those assets, liabilities, and operations during the historical periods.

1.2.3 Spin-Offs and Reverse Spin-Offs

ASC 505-60 defines a spin-off as follows:

> The transfer of assets that constitute a business by an entity (the spinnor) into a new legal spun-off entity (the spinnee), followed by a distribution of the shares of the spinnee to its shareholders, without the surrender by the shareholders of any stock of the spinnor.

However, in some spin-offs, the substance of the transaction does not align with its legal form. ASC 505-60 defines a reverse spin-off as follows:

> A spinoff of a subsidiary to an entity's shareholders in which the legal form of the transaction does not match its substance such that the new legal spun-off entity (the spinnee) will be the continuing entity.

ASC 505-60-25-7 states:

> Reverse spinoff accounting is appropriate if treatment of the legal spinnee as the accounting spinnor results in the most accurate depiction of the substance of the transaction for shareholders and other users of the financial statements. The determination of whether reverse spinoff accounting is appropriate is a matter of judgment that depends on an evaluation of all relevant facts and circumstances. The following paragraph provides guidance on making the required determination.

Entities should consider the guidance in ASC 505-60 for determining whether, for accounting purposes, the transaction should be accounted for as a spin-off (sometimes called a "forward spin") or a reverse spin-off. Specifically, ASC 505-60-25-8 provides the following indicators for determining the accounting spinnor and spinnee:

> In order to determine the required accounting and reporting in a spinoff transaction, an entity needs to determine which party is the accounting spinnor and which is the accounting spinnee. In determining whether reverse spinoff accounting is appropriate, a presumption shall exist that a spinoff be accounted for based on its legal form, in other words, that the legal spinnor is also the accounting spinnor. However, that presumption may be overcome. An evaluation of the following indicators shall be considered in that regard. Nevertheless, no one indicator shall be considered presumptive or determinative. The following are indicators that a spinoff should be accounted for as a reverse spinoff:
>
> a. The size of the legal spinnor and the legal spinnee. All other factors being equal, in a reverse spinoff, the accounting spinnor (legal spinnee) is larger than the accounting spinnee (legal spinnor). The determination of which entity is larger is based on a comparison of the assets, revenues, and earnings of the two entities. There are no established bright lines that shall be used to determine which entity is the larger of the two.
>
> b. The fair value of the legal spinnor and the legal spinnee. All other factors being equal, in a reverse spinoff, the fair value of the accounting spinnor (legal spinnee) is greater than that of the accounting spinnee (legal spinnor).
>
> c. Senior management. All other factors being equal, in a reverse spinoff, the accounting spinnor (legal spinnee) retains the senior management of the formerly combined entity. Senior management generally consists of the chairman of the board, chief executive officer, chief operating officer, chief financial officer, and those divisional heads reporting directly to them, or the executive committee if one exists.

d. Length of time to be held. All other factors being equal, in a reverse spinoff, the accounting spinnor (legal spinnee) is held for a longer period than the accounting spinnee (legal spinnor). A proposed or approved plan of sale for one of the separate entities concurrent with the spinoff may identify that entity as the accounting spinnee.

The determination of whether a transaction is a spin-off or a reverse spin-off will significantly affect the financial statement presentation after the transaction. For example, assume that Entity C is a holding company that owns Operations A and B and has no other operations. Entity C determines that it will form Entity D, contribute B to D, and then distribute shares of D to its shareholders. The following table outlines the content of the financial statements for C and D once the separation has occurred on the basis of whether the distribution is determined to be a spin-off or reverse spin-off:

	Spin-Off	**Reverse Spin-Off**
Financial statements of C, the existing registrant and legal spinnor	• *Periods before the spin-off* — Consolidated financial statements of C, which consist of the operations of A and B (B should be reflected as a discontinued operation if it qualifies) • *Periods after the spin-off* — Consolidated financial statements of C, which consist of the operations of A alone	• Reflects a change in reporting entity • *Periods before the spin-off* — Carve-out financial statements of the legal spinnor and accounting spinnee, which consist of C and the operations of A • *Periods after the spin-off* — Consolidated financial statements of C, which consist of the operations of A alone
Financial statements of D, the new registrant and legal spinnee	• *Periods before the spin-off* — Carve-out financial statements, which consist of the operations of B alone • *Periods after the spin-off* — Consolidated financial statements of D, which consist of the operations of B alone	• *Periods before the spin-off* — Consolidated financial statements of C, which consist of the operations of A and B (A should be reflected as a discontinued operation if it qualifies) • *Periods after the spin-off* — Consolidated financial statements of D, which consist of the operations of B alone

At the 2014 AICPA Conference on Current SEC and PCAOB Developments, the SEC staff addressed reporting considerations related to a spin-off that is determined to be a reverse spin-off under ASC 505-60. The staff stated:

> [W]hen the spinoff is determined to be a reverse spin under Subtopic 505-60, some registrants have assumed that this conclusion dictates the financial statements that are presented in a registration statement that is filed to effect the spinoff. Specifically, some registrants have concluded that when a transaction is accounted for as a reverse spin, the financial statements of the existing registrant (i.e. — the legal spinnor) can be used to satisfy the financial statement requirements of the entity that will be spun off (i.e. — the accounting spinnor/legal spinnee). On this point, our colleagues in the Division of Corporation Finance view this as an assessment that is based on the unique facts and circumstances of each transaction, and there may be situations in which carveout financial statements are required for the accounting spinnor/legal spinnee in a registration statement relating to a reverse spin. Overall, the separation of an existing registrant into two or more registrants in a spinoff transaction may present a number of reporting questions, both with respect to the registration statement as well as the subsequent Exchange Act reports for each continuing entity. Given the significant judgments involved in determining the accounting spinnor as well as the appropriate financial statement presentation, the staff

> encourages registrants to continue to consult on their accounting and reporting conclusions relating to spinoffs, particularly when the transaction is expected to be accounted for as a reverse spin.

If management has concluded that a spin-off transaction is expected to be accounted for as a reverse spin-off, or if the determination involves a high degree of judgment, management should consider (1) consulting with its auditors and other professional advisers and (2) preclearing its conclusions about the accounting and reporting requirements with the SEC staff if the carve-out financial statements are expected to be included in an SEC filing.

1.2.4 Common-Control Transactions

In preparing for a carve-out transaction, an entity may engage in common-control transactions to reorganize its internal structure and move net assets among its subsidiaries. In a common-control transaction, the receiving entity recognizes the transferred assets and liabilities at their carrying amounts on the date of transfer. However, the carrying amounts of the assets and liabilities transferred in the parent's consolidated financial statements sometimes differ from those in the transferring entity's separate financial statements (e.g., if the transferring entity has not applied pushdown accounting). ASC 805-50-30-5 states that in such cases, the receiving entity's financial statements must "reflect the transferred assets and liabilities at the historical cost of the parent of the entities under common control." An entity should consider this guidance when determining the historical cost basis of the assets and liabilities of a carve-out entity that were received by the carve-out entity in a common-control transaction.

For additional guidance on accounting for and reporting common-control transactions, see Appendix B of Deloitte's Roadmap *Business Combinations*.

1.3 Considerations for Management

Management often may need to use judgment and carefully plan ahead when preparing carve-out financial statements since such a process can be challenging. Below are some considerations management should take into account when preparing carve-out financial statements.

1.3.1 Identifying the Carve-Out Entity and the Carve-Out Financial Statements

The preparation of carve-out financial statements is often a complex process. The form and content of the financial statements will depend on several considerations, including the users of the financial statements and the purpose for which the financial statements are being prepared. Integral to the preparation of carve-out financial statements is the identification of the carve-out entity and the assets, liabilities, and operations of the carve-out entity to be included in the historical periods presented. Management is encouraged to engage its auditors during the planning of the carve-out transaction and before the preparation of the carve-out financial statements; such proactive engagement may help management identify issues and complexities earlier.

1.3.2 Assembling the Right Team

Involving the appropriate personnel is an integral step in preparing carve-out financial statements. Management should evaluate which employees could help provide the information needed to prepare accurate and complete financial statements. Such employees may include those outside accounting (e.g., in operations or human resources). In addition, management may need to engage external specialists (e.g., tax or valuation specialists).

1.3.3 Materiality and Evaluating Misstatements

Because the materiality thresholds related to the carve-out financial statements will most likely be lower than those related to the consolidated parent entity, management may need to assess the carve-out entity's accounts and balances in even more detail than they may have been subjected to during the preparation of the parent-entity financial statements. Accordingly, the parent entity's historical corrected or uncorrected misstatements and disclosures related to the carve-out entity that were previously considered immaterial to the parent's financial statements would need to be reconsidered on the basis of materiality thresholds applicable to the carve-out financial statements.

1.3.4 Internal Controls

Management should design and implement processes and controls for preparing the carve-out financial statements (e.g., management may need to design, implement, and execute controls related to the appropriate determination and recording of income statement and balance sheet allocations to the carve-out financial statements). Although an entity may often be able to leverage existing financial statement preparation controls, management should evaluate whether it needs to modify such controls to accommodate process changes related to preparing the carve-out financial statements.

1.3.5 Supporting Documentation

Management should consider the type of documentation necessary to support the assumptions made and results achieved in preparing carve-out financial statements. In some cases, the supporting documentation may already exist (e.g., compensation expense is usually calculated and allocated on an employee-by-employee basis). However, management may need to develop and maintain new documentation for the allocations made for the carve-out financial statements (e.g., a rational and systematic method for allocating selling, general, and administrative expenses).

Management may choose to use existing accounting systems as much as possible when preparing carve-out financial statements. However, the ability to use such systems may be limited depending on the level of detail at which the account balances are maintained as well as the structure of the carve-out entity (e.g., whether the carve-out represents a segment of the parent or only part of a segment). If the carve-out entity represents a segment or component for which discrete financial information is readily available, management may be able to readily extract information from its existing accounting records. However, if the carve-out entity includes portions of different segments, further involvement of IT specialists may be required.

1.3.6 Significant Judgments and Estimates

In preparing carve-out financial statements, management will often need to make significant accounting judgments and estimates related to allocating account balances and activities to the carve-out financial statements and determining the appropriate disclosures to include in these financial statements. Such judgments and estimates may include the following:

- The allocation of goodwill to the carve-out financial statements and the assessment of goodwill for impairment in the periods presented in such financial statements (see Chapter 2).
- The identification of the carve-out entity's operating and reportable segments and the preparation and presentation of segment disclosures in the periods presented in the carve-out financial statements (see Chapters 2 and 4).

- The allocation of pension and postretirement expenses, obligations, and plan assets, as well as share-based compensation expense, to carve-out financial statements (see Chapter 2).
- The allocation of expenses for shared assets and facilities or corporate functions to carve-out financial statements (see Chapter 3).
- The preparation of the income tax provision and the allocation of deferred tax assets and deferred tax liabilities to carve-out financial statements (see Chapter 3).
- The identification of subsequent events applicable to the carve-out entity and the determination of whether the effects of subsequent events need to be recorded and disclosed in the carve-out financial statements (see Chapter 4).

1.3.7 Working With Auditors

If, as part of the preparation of carve-out financial statements, external auditors need to perform an audit and issue an audit opinion, the auditors will need to understand the process undertaken by management for collecting and maintaining all supporting documentation used in the preparation of the carve-out financial statements. For balances in which judgment or complex estimates are required, management should ensure that its documentation contains enough detail for auditors to reach conclusions about the reasonableness of the amounts allocated to, and balances presented in, the carve-out financial statements.

Topics on which up-front and regular dialogue with auditors may help facilitate an efficient and effective audit of the carve-out financial statements include the following:

- *Identifying the carve-out entity and the carve-out financial statements* — Understanding the purpose, as well as the form and content, of the carve-out financial statements is important in determining the nature of the audit and the type of report to be issued. Management's early engagement of its auditors may also help the auditors develop their risk assessment and procedures for the audit of the carve-out financial statements in a timely manner. Under certain circumstances, management may need to prepare carve-out financial statements for only a portion of an entity that is not considered a stand-alone business. Accordingly, the carve-out financial statements could be designated as special-purpose financial statements that would be prepared in accordance with a special-purpose framework instead of under U.S. GAAP. Auditor reporting implications, such as restrictions on the use of the report by third parties, could be associated with such financial statements. Further, the audit report for carve-out financial statements may include an emphasis-of-matter paragraph to, for example, stress that the financial statements (1) were derived from the financial statements and accounting records of the carve-out entity's parent, (2) include expense allocations for certain corporate functions historically provided by the carve-out entity's parent, (3) may not reflect the actual costs that the carve-out entity would have incurred as a separate entity apart from its parent, and (4) include significant transactions with related parties.
- *Materiality and evaluating misstatements* — Although management will need to consider materiality when evaluating uncorrected misstatements in the carve-out financial statements, the auditor will often need to calculate a separate materiality to assess risk and plan further procedures for auditing these financial statements. Materiality influences many of the auditor's decisions about its audit strategy and scope, including the determination of which locations and accounts are within the audit's scope as well as the extent of the testing it needs to perform. Materiality is based on both quantitative and qualitative factors, including the needs of the

expected users of the financial statements. The materiality thresholds determined for audits of the carve-out financial statements are usually lower than those used for audits of the parent-entity financial statements from which the carve-out financial statements are derived, and amounts considered immaterial or not tested by the auditor at the parent-entity level may be considered material to the carve-out entity's operations. For example, an auditor may need to test (1) account balances that were not tested historically as part of the parent-entity audits or (2) previously tested account balances by using a lower materiality threshold. In addition, management may need to include certain disclosures in carve-out financial statements that were previously immaterial and undisclosed in the parent-entity financial statements. Auditors will need to perform incremental procedures to test the accuracy and completeness of the disclosures included in the carve-out financial statements.

As a result of the auditor's use of a lower materiality threshold, uncorrected misstatements and omitted disclosures previously considered immaterial to the parent entity's financial statements may be considered material to the carve-out financial statements. Management should evaluate uncorrected misstatements and omitted disclosures identified during the audit of the parent-entity financial statements and should consult with its auditors in determining whether those are applicable to the carve-out financial statements.

If, as part of the audit of the carve-out financial statements, audit misstatements are identified, the auditor may need to consider the implications of those misstatements with respect to the parent entity's prior or current-period audits. The identification of such misstatements may also result in incremental control deficiencies that will need to be evaluated from an audit scope perspective. Depending on the severity of these misstatements, they may need to be communicated to management and those charged with governance.

- *Internal control over financial reporting (ICFR)* — The auditor will need to consider and evaluate controls over the preparation and review of carve-out financial statements as well as the business processes relevant to financial reporting for the carve-out entity, regardless of whether these are existing controls that are modified for the carve-out entity or newly created ones. If the auditor concludes that such controls are relevant to the audit, the auditor must perform incremental procedures to test the design and implementation, and potentially the operating effectiveness, of these controls. The extent of such procedures will vary depending on the precision and frequency of the existing or new controls. Management and the auditor may have to invest a significant amount of time and effort to evaluate the new or modified controls. If the carve-out financial statements will be included in a registration statement filed with the SEC, management is strongly advised to consult with legal counsel and auditors to determine the ICFR reporting requirements of management and the independent auditor. While newly public companies do not need to provide management's report on ICFR in an SEC registration statement or in the first Form 10-K filed after the registration statement is declared effective, management is required to evaluate its internal controls on a quarterly basis and disclose material changes in ICFR. Further, key executives will be required to certify that they have maintained effective disclosure controls and procedures. These certifications must be provided in the first Form 10-Q filed by the newly public entity. Auditors are not required to audit or issue an opinion on the effectiveness of ICFR during the registration statement process but could be required to do so in future periodic filings with the SEC. For additional guidance on internal controls and procedures after a registration statement is declared effective, see Deloitte's Roadmap *Initial Public Offerings*.
- *Significant management judgments and management estimates* — The auditor will request detailed documentation that supports the judgments and estimates used in preparing the carve-out financial statements.

Chapter 2 — Accounting Considerations Related to a Carve-Out Entity's Statement of Financial Position

Before preparing carve-out financial statements, management must determine the purpose of such financial statements and what portion of the parent entity's operations, assets, and liabilities should be included in them. Entities will often begin by going through the balance sheet of the parent entity line by line (e.g., cash; accounts receivable; property, plant, and equipment [PP&E]). Balance sheet items that are inherently related to the carve-out entity, such as PP&E, can often be readily attributed to the carve-out financial statements. For many of the balances, however, balance sheet items may not be easily identified (e.g., when the balance sheet item is a mixture of the portion of the operations to be included in the carve-out transaction and the portion that is not to be included). This chapter addresses some of the more complex balance sheet items.

When determining whether to include an asset or liability on the balance sheet of the carve-out entity, entities may consider factors such as the following (not all-inclusive):

- Whether the carve-out entity possesses the legal title to the asset or obligation to settle the liability.
- Whether the assets or liabilities were used in or created by the historical operations of the carve-out entity.
- Whether the assets or liabilities will be divested by the parent as a result of the transaction.

None of the above factors is determinative, and entities should consider the specific facts and circumstances and context of the transaction(s) when determining the approach for certain balance sheet items.

Entities must also use judgment in allocating shared assets. While the statement of operations may include allocations of certain expenses on a pro rata basis in accordance with a reasonable allocation method (as discussed in Chapter 3), dividing assets or liabilities that represent a single unit of account between the parent and carve-out entity is generally not appropriate. For example, a piece of manufacturing equipment that is used by both the parent and carve-out entity should not be allocated to both entities. Instead, on the basis of the factors described above, the carve-out entity should determine whether the full asset should be recognized in its entirety or not at all. Regardless of the conclusion reached with respect to the statement of financial position, however, the income statement would reflect a reasonable allocation of costs for use of the equipment (as discussed in Sections 2.1 and 3.1).

In addition to discussing these broad principles, this chapter addresses some of the more complex balance sheet items.

2.1 Parent-Entity Net Investment in the Carve-Out Entity

In some cases, carve-out financial statements may reflect a single legal entity. Such carve-out financial statements will reflect the historical equity structure of that legal entity, including typical equity line items such as common stock, APIC, and retained earnings.

However, in many cases, carve-out financial statements reflect the combination of multiple legal entities or portions of one or more legal entities and, as a result, the typical equity line items may not be meaningful. In these circumstances, entities will often combine the net equity attributable to the parent (excluding accumulated other comprehensive income [AOCI]) into a single line item. This line item, often referred to as the "parent's net investment," reflects the parent company's investment in the carved-out business.

In allocating assets and liabilities and items of income and expense to carve-out financial statements, preparers of carve-out financial statements should be cognizant of the possible disconnect between balance sheet and income statement allocations. Income statement allocations to carve-out financial statements should usually reflect all costs of doing business (see Chapter 3 for additional guidance), whereas the balance sheet of a carve-out entity should generally include the assets currently or formerly owned by the carve-out entity and those liabilities for which the carve-out entity was or is legally responsible. Differences between income statement and balance sheet allocations are typically reflected in equity in the carve-out financial statements as part of the parent's net investment in the carve-out entity (as contributions to the carve-out entity or distributions from the carve-out entity) unless an arrangement between the parent and the carve-out entity requires cash settlement (in which case, differences would be reflected as a net payable to, or net receivable from, the parent). See Sections 3.2 and 4.1.1 for further discussion of intercompany balances.

In addition to the impact of allocations, the parent's net investment would include contributions to fund the operations of the carve-out entity as well as the accumulated earnings or losses of the carve-out business(es).

2.2 Goodwill

If the parent entity has recorded goodwill and if the carve-out entity constitutes a business as defined in ASC 805-10-55, management must use a reasonable approach to determine the amount of goodwill to include in the carve-out financial statements. Because the intent of carve-out financial statements is to segregate balances and transactions within the parent's financial statements that are related to the carve-out entity, when the carve-out entity represents a reporting unit of the parent entity, the goodwill balance of the reporting unit is generally included in the carve-out financial statements.

When only a portion of one or more reporting units of the parent is included in the carve-out entity's financial statements, goodwill of the reporting unit(s) is typically included in the carve-out entity's statement of financial position on the basis of the guidance in ASC 350-20-35-45 and 35-46, which provides for a relative fair value allocation approach that is consistent with that used by the parent when a portion of a reporting unit is disposed of.

Sometimes a recent acquisition of the parent is included in the carve-out entity but is part of a larger reporting unit of the parent. To avoid underreporting the historical goodwill of the carve-out entity, management may need to consider the goodwill resulting from the recent acquisition when it allocates goodwill to the carve-out entity. In such a case, goodwill resulting from the acquisition might be included in the carve-out financial statements, along with the net assets of the acquisition, before management performs a relative fair value allocation. Similarly, when a recent acquisition included in a larger reporting

unit of the parent will not be included in the carve-out entity, goodwill, along with the net assets of the acquisition, might be excluded before management performs a relative fair value allocation.

The appropriateness of the specific identification of goodwill from a prior acquisition within a larger reporting unit of the parent and the inclusion of that goodwill in (or the exclusion of it from) the carve-out financial statements is expected to be affected by the length of time since the prior acquisition occurred given that a more recent acquisition offers less likelihood that the goodwill will have lost its connection to the prior acquisition. The goodwill resulting from a prior acquisition may also have lost its connection to the prior acquisition when the goodwill of the prior acquisition has been included with other goodwill in a reporting unit of the parent that has experienced impairments or has undergone a reorganization.

Note that the amount of goodwill included in the carve-out financial statements might differ from the amount of goodwill the parent entity derecognizes from its financial statements when the parent entity divests of a carve-out entity (see Section 2.2.4).

We believe that in the absence of specific guidance regarding the allocation of goodwill to a carve-out entity, an entity needs to use judgment in determining which goodwill allocation approach to use. As with judgments related to the allocation of certain other assets, liabilities, and expenses, the entity should also evaluate whether this judgment is reasonable and supportable given the specific facts and circumstances.

2.2.1 Identifying Operating Segments and Reporting Units

The carve-out entity's operating segments may differ from those identified in the parent entity's reporting structure. As defined by ASC 280-10-50-1, an operating segment has the following characteristics:

- The segment recognizes revenue and incurs expenses from participating in business activities.
- The chief operating decision maker (CODM) regularly reviews operating results to assess performance and makes decisions about resources to be allocated to the segment.
- Discrete financial statement information about the segment is available.

The CODM is the person or function that will be responsible for reviewing discrete financial statement information about the carve-out entity's segments. As a result, the discrete financial statement information for the carve-out entity may be different from that used for the segment reporting related to the consolidated parent's historical financial statements. Management must carefully evaluate the carve-out entity's facts and circumstances to appropriately identify its operating segments.

Even if the carve-out entity will not be required to disclose segment information, determining the carve-out entity's operating segments is still necessary because this determination is the first step in identifying the reporting units to which goodwill should be allocated in the carve-out entity's structure. Management should evaluate components of an operating segment to determine whether the components have similar economic characteristics and thus should be aggregated into a single reporting unit. This evaluation may result in reporting units for the carve-out entity that differ from what was identified in the parent's reporting structure.

For more information, see Section 4.5 as well as Deloitte's Roadmap *Segment Reporting*.

2.2.2 Goodwill Impairment Testing

As discussed in Section 2.2, we believe that when goodwill allocated to the carve-out entity is derived from the goodwill balances of the parent, such goodwill carries with it the results of the parent's previously performed goodwill impairment tests. Accordingly, upon allocation, an entity is not required to perform impairment testing for historical periods in the carve-out financial statements even if different reporting units are identified going forward for the carve-out entity. This approach is consistent with the view that the formation of the carve-out entity is akin to a reorganization of the parent entity's reporting units for which retrospective testing of goodwill under the reorganized structure is not required by U.S. GAAP. While ASC 350-20-35-48 requires that goodwill recognized in a subsidiary's separate financial statements be tested for impairment at the subsidiary level, we do not believe that this guidance is intended to apply to carve-out financial statements for operations that were not previously included in separate subsidiary financial statements. However, future goodwill impairment testing should be performed for the carve-out entity on the basis of its reporting unit structure as of the date of each subsequent test.

Because there is no authoritative guidance on impairment testing of goodwill presented in a carve-out entity's historical financial statements, we are aware of diversity in practice related to the belief by some that the goodwill included in the carve-out entity should be subjected to testing in each historical period presented, as if the carve-out entity had been a separate subsidiary of the parent in all such historical periods. Entities may find support for this approach in the aforementioned guidance in ASC 350-20-35-48.

Entities evaluating an approach in which goodwill included in the carve-out entity is subjected to testing in each historical period presented will need to assess the potential impracticalities of (1) identifying reporting units for prior periods in the carve-out financial statements when a CODM or operating segment and reporting unit structure may not have been in place in those periods and (2) developing the necessary business and valuation assumptions for goodwill impairment testing for each presumed reporting unit in each historical period. Entities will also need to carefully consider the overall framework for preparing carve-out financial statements. For example, using a framework that is more consistent with that used for preparing an initial issuance of financial statements might affect the allocation of goodwill to the carve-out entity (see Section 2.2) as well as the evaluation of subsequent events in the carve-out financial statements (see Section 4.7). Given the additional complexities associated with subjecting the goodwill included in the carve-out entity to historical impairment testing in each historical period presented, carve-out entities that use this approach are encouraged to consult with their accounting advisers.

2.2.3 Disclosure Considerations

A carve-out entity's financial statements that include goodwill must meet the disclosure requirements in ASC 350-20-50-1 for presenting changes in the carrying amount of goodwill. Under these requirements, an entity must separately disclose:

a. The gross amount and accumulated impairment losses at the beginning of the period

b. Additional goodwill recognized during the period, except goodwill included in a disposal group that, on acquisition, meets the criteria to be classified as held for sale in accordance with paragraph 360-10-45-9

c. Adjustments resulting from the subsequent recognition of deferred tax assets during the period in accordance with paragraphs 805-740-25-2 through 25-4 and 805-740-45-2

d. Goodwill included in a disposal group classified as held for sale in accordance with paragraph 360-10-45-9 and goodwill derecognized during the period without having previously been reported in a disposal group classified as held for sale

e. Impairment losses recognized during the period in accordance with [ASC 350-20]

f. Net exchange differences arising during the period in accordance with Topic 830

g. Any other changes in the carrying amounts during the period

h. The gross amount and accumulated impairment losses at the end of the period.

To meet the above disclosure requirements, management may have to allocate amounts previously disclosed in the parent-entity financial statements for these various components, including the gross amount of goodwill and accumulated impairment losses, as well as the changes in net carrying amount of the carve-out entity's allocated goodwill. This may be challenging if the parent entity has historically presented changes in the goodwill carrying amount in the aggregate rather than by reportable segment (as is the case with entities that are not within the scope of ASC 280).

See Section 4.5 for a discussion of disclosure requirements for reportable segments.

2.2.4 Additional Parent-Entity Considerations

When the parent entity divests of the carve-out entity, it must determine the amount of goodwill to include with the disposal by using the guidance in ASC 350-20-40-1 through 40-6, which may require a relative fair value allocation. Differences may exist between (1) the allocation method used by the parent entity in determining the amount of goodwill to attribute to the net assets disposed of and (2) the method used to identify and attribute goodwill to the financial statements of the carve-out entity. As a result of the use of these two methods, there may be differences between the amount of goodwill that the parent entity (1) derecognizes from its financial statements when it divests of a carve-out entity and (2) includes in the carve-out financial statements (see Section 2.2). In addition, ASC 350-20-40-7 states:

> When only a portion of goodwill is allocated to a business or nonprofit activity to be disposed of, the goodwill remaining in the portion of the reporting unit to be retained shall be tested for impairment . . . using its adjusted carrying amount.

2.3 Other Long-Lived Assets — Impairment Testing

Under ASC 360, an entity must test long-lived assets for impairment whenever events or changes in circumstances indicate that their carrying amounts may not be recoverable. Impairment losses should be recognized if the carrying amount of a long-lived asset (or its related asset group) (1) is not recoverable on the basis of projections of future undiscounted cash flows and (2) exceeds its fair value. Typically, long-lived assets assigned to a carve-out entity that were determined to be recoverable at the parent-entity level remain recoverable when considered at the carve-out level since, under ASC 360, long-lived assets are tested at the lowest level for which identifiable cash flows are largely independent of the cash flows of other groups of assets and liabilities.[1]

If the parent entity has recorded historical impairment charges related to long-lived assets assigned to the carve-out entity (e.g., PP&E), such impairments would be reflected in the carve-out financial statements.

[1] See ASC 360-10-35-23 through 35-25.

2.4 Parent-Entity Debt

ASC 805-50-30-12 indicates that an acquiree should recognize in its separate financial statements an acquisition-related liability incurred by the acquirer only if the liability represents an obligation of the acquiree in accordance with other U.S. GAAP. Therefore, in preparing carve-out financial statements, entities should attribute parent-entity debt to the carve-out financial statements only if the parent-entity debt represents an obligation of the carve-out entity in accordance with other U.S. GAAP. For more information, see Section 2.3.2.5 of Deloitte's Roadmap *Issuer's Accounting for Debt*.

2.5 Defined Benefit Plans

In some cases, the carve-out entity's employees participate in one or more defined benefit plans that are sponsored by the parent entity (or another entity in the consolidated group that is not part of the carve-out entity). While there is no specific guidance on accounting for such benefit plans in the carve-out financial statements, entities typically apply one of two methods: (1) a multiemployer approach or (2) an allocation approach. Under either approach, the carve-out entity's income statement should reflect an allocated portion of the net periodic benefit cost on the basis of a reasonable allocation method, which should include, at a minimum, the allocable portion of service costs. The key difference between the two approaches is whether allocations of the plan's benefit obligation, plan assets, and related AOCI balances are included in the carve-out entity's balance sheet. The method chosen should be appropriately disclosed in the carve-out financial statements. Section 2.5.3 discusses considerations related to selecting an approach.

2.5.1 Multiemployer Approach

Use of a multiemployer approach is based on analogy to the guidance in ASC 715-80-35-1 on multiemployer plans, as further described in ASC 715-30-55-62 through 55-64. This guidance describes accounting similar to the accounting a subsidiary would use in its stand-alone financial statements if it participates in a defined benefit plan sponsored by the parent entity for which the plan assets are **not** segregated and restricted for each participating subsidiary. This approach would not reflect the carve-out entity's share of the benefit obligation, plan assets, and related AOCI amounts in the carve-out financial statements. An intercompany payable or receivable may be included in the carve-out financial statements depending on the historical approach an employer has used when allocating benefit costs or funding the plan. Under this approach, if the carve-out entity will assume responsibility for a portion of the plan's benefit obligation, the financial statements should disclose either the benefit obligation and plan assets to be assumed by the carve-out entity or, if that information is not available, the information available for the plan's aggregate benefit obligation and plan assets before the carve-out transaction.

2.5.2 Allocation Approach

Under an allocation approach, the carve-out entity would reflect its portion of the benefit obligation, plan assets, and any related AOCI amounts in the carve-out financial statements. This approach may be more helpful to financial statement users if the carve-out entity will assume part of the benefit obligation because the carve-out financial statements would include the amount of the benefit obligation to be assumed by the carve-out entity (and, hence, to be carried forward into future financial statements and operating results). In accordance with ASC 845-10-55-1, if a pension obligation is being transferred as part of a spin-off, an entity must account for such a transfer similarly to how it accounts for a division of a pension plan that was previously part of a larger pension plan. For both pension and other postretirement defined benefit plans, it is appropriate for an entity to analogize to this guidance when preparing the carve-out financial statements.

Example 1 in ASC 845-10-55-3 through 55-9 illustrates this approach. Allocation of both the benefit obligation and unamortized prior service cost should be based on the individual plan participants for whom the carve-out entity is assuming a benefit obligation. Net gain or loss included in AOCI is allocated in proportion to the benefit obligations (1) being assumed by the carve-out entity and (2) staying with the consolidated entity. Any allocation of plan assets is usually determined in accordance with the sale or spin-off transaction agreement and may be subject to regulatory requirements such as the Employee Retirement Income Security Act of 1974 (ERISA). The allocation approach used in the preparation of the carve-out financial statements should reflect the terms of any such agreement.

2.5.3 Other Considerations

The purpose and the timing of the preparation of carve-out financial statements may be relevant to the evaluation of which method of accounting for defined benefit plans is most appropriate in a given set of facts and circumstances. For example, the allocation approach might be considered more appropriate when there already is an agreement in place between a buyer and seller of a business that clearly delineates which part of the parent entity's benefit obligation will be assumed by the buyer. In other situations, historical carve-out financial statements may be prepared in advance of a transaction agreement to assist the parent entity in marketing and selling the carve-out business. In the absence of contractual terms between a buyer and seller that support the structure of the transaction and related treatment of the benefit obligation, the multiemployer approach might be considered more appropriate.

In the case of legal plan separations in the United States, ERISA includes explicit guidance on how the plan assets must be allocated. The ERISA calculations may take a significant amount of time, so it may be necessary for an entity to make a preliminary allocation estimate for the carve-out financial statements before finalizing the ERISA calculations. If a preliminary allocation is used, the carve-out financial statements should include a prominent disclosure stating this fact.

An entity should consider whether it is appropriate to highlight this preliminary estimate in the significant risk and uncertainty disclosure required by ASC 275-10-50 since the amount recorded in the financial statements could materially differ from the finalized ERISA allocation. Once the legal separation takes place, which often occurs contemporaneously with the spin-off, the plan asset balances would be adjusted to the actual amount of plan assets allocated to the carve-out entity, typically through equity, unless an agreement between the entity (or its new owners) and the former parent provides for a different treatment.

2.5.4 Parent-Entity Considerations

The parent entity should also consider whether, in connection with the potential sale of a business, a curtailment has occurred that should be reflected in the parent's income statement. In addition, if the parent entity determines that a defined benefit plan will be settled or terminated as a result of the carve-out transaction, the accounting impact of such settlement or termination should be included in the parent's financial statements when it occurs.

2.6 Derivatives and Hedging

Management needs to evaluate all derivative instruments, regardless of whether they are designated in a hedging relationship, for possible inclusion in the carve-out financial statements. In performing this evaluation, an entity should consider whether a derivative instrument is directly attributable to the carve-out entity.

Generally, if a derivative instrument hedges an item that has been allocated to the carve-out financial statements (e.g., an interest rate swap that hedges debt included in the carve-out financial statements), the derivative instrument should also be included in the carve-out financial statements.

The accounting for derivative instruments allocated to the carve-out financial statements will usually mirror the accounting historically applied by the parent entity. For example, if a derivative instrument qualifies for hedge accounting in the parent entity's historical financial statements, hedge accounting (including any related AOCI balances for cash flow hedges) should also be carried forward to the periods presented in the carve-out financial statements. The accounting should give users of the carve-out financial statements the best possible view of the historical activity.

2.7 Contingencies

If the carve-out entity is the primary obligor for a contingent liability (e.g., legal or environmental) as a result of its operations, the contingent liability should be recognized in the carve-out entity's financial statements. If the parent entity is the primary obligor, the contingent liability might still be recognized in the carve-out entity's financial statements when the liability is related to the carve-out entity's operations and will be assumed by the carve-out entity as a result of the carve-out transaction.

Notwithstanding the inclusion of the liability, the historical carve-out financial statements should reflect all the carve-out entity's costs of doing business, including costs incurred on the carve-out entity's behalf by its parent (see Chapter 3 for additional guidance). Therefore, circumstances may occur in which the expenses related to a contingent liability are recorded in the carve-out entity's income statement while the related liability is not. See Section 2.1 for discussion of the reporting of differences between income statement and balance sheet allocations.

When evaluating the disclosure requirements in ASC 450-20-50, management must take into account the fact that contingencies previously considered immaterial to the parent's financial statements that are related to the carve-out entity may need to be disclosed on the basis of materiality thresholds applicable to the carve-out financial statements (see Section 1.3.3).

2.8 Other Assets and Liabilities

For assets and liabilities for which specific guidance does not exist, entities should use a reasonable allocation method. However, because the facts and circumstances vary depending on the types of assets or liabilities that need to be presented in the carve-out financial statements, management must evaluate each of these financial statement items individually to ensure that the allocation method is reasonable. Sections 2.8.1 through 2.8.5 provide examples of such items as well as considerations related to developing an appropriate allocation method.

2.8.1 Working Capital

Companies often have centralized cash management functions involving "sweep" accounts or "cash pools." The classification of any deposits by a carve-out entity in a cash pool as cash or a cash equivalent depends on the terms of the arrangement and whether the deposit represents a demand deposit in the carve-out entity's name at a bank or financial institution. See Section 4.3 of Deloitte's Roadmap *Statement of Cash Flows* for more information.

In addition, many companies have centralized cash collection and bill payment shared services centers. When shared services centers are used and the customers and vendors of the carve-out entity overlap with those of its parent, it can be challenging to identify receivables and payables related to the carve-out entity (see Sections 3.2 and 4.1.1 for further discussion). In these situations, management may need to modify systems to identify working capital items that are attributable to the carve-out entity.

2.8.2 Deferred Compensation

For deferred compensation plans, management must determine whether to allocate those balances or a portion thereof to the carve-out entity. The deferred compensation balances generally should "follow the employee" to whom they are related. Management should consider where the employee provided services within the consolidated entity as well as where the employee will be employed once the carve-out transaction is completed. Often, these factors align (e.g., when the carve-out entity represents a reportable segment of the parent, and the employee for that reportable segment will be transferred with the carve-out entity). Careful consideration is necessary to ensure that costs are properly reflected in the carve-out financial statements in situations in which the employee provided services to the carve-out entity but will not be transferred with it.

2.8.3 Self-Insurance Accruals

Self-insurance accrual allocations can be complex and generally require the involvement of an actuary. If the parent entity maintains sufficient claim detail, management may be able to identify the specific claims attributable to the carve-out entity. For example, if a parent entity is carving out five plants, management may be able to use "plant identifiers," such as a company code, to identify the specific claims associated with the five plants. However, if a parent entity does not have sufficient detail in its claims data to identify the claims attributable to the carve-out entity, management would need to determine an appropriate allocation method to estimate the amount. Allocation methods may take into account such factors as payroll exposure data and percentage of head count associated with the carve-out entity.

If management has previously allocated self-insurance expense and liabilities to the carve-out entity, it should apply consistent allocation methods when it prepares the carve-out financial statements.

2.8.4 Right-of-Use Assets and Lease Liabilities

When preparing carve-out financial statements, entities should consider whether to include the right-of-use (ROU) assets and lease liabilities of the parent entity and, if so, in what amounts. Regardless of whether the carve-out entity recognizes the ROU assets and lease liabilities, it should include lease expense that clearly applies to it (see Section 3.1 for further discussion) in its financial statements, which must reflect all of its costs of doing business.

Determining whether the ROU assets and lease liabilities should be included in the carve-out financial statements may involve more complexities than determining the lease expense attributable to the carve-out entity. There is no authoritative guidance on attributing ROU assets and lease liabilities to the carve-out financial statements, and entities will have to apply judgment when determining whether these lease assets and liabilities should be recognized in the carve-out financial statements.

In certain situations, entities may be able to readily attribute the ROU assets and lease liabilities to the carve-out financial statements. For example, if the carve-out entity is the primary obligor for the lease and primarily uses the underlying asset in its operations, management should generally recognize the ROU asset and lease liability in the carve-out financial statements. In other situations, such as when the lease contract is entered into by the parent entity but the underlying asset is used primarily in the carve-out entity's operations, questions have arisen related to whether the ROU asset and lease liability should be considered part of the carve-out financial statements in every case or only if a legal agreement exists between the parent entity and the carve-out entity. For example, the existence of an intercompany sublease agreement would provide a basis for the premise that the rights and obligations of the lease are attributable to the carve-out entity; accordingly, management should recognize the lease liability and corresponding ROU asset in the carve-out financial statements. If no contractual arrangement exists between the parent entity and the carve-out entity or the third-party lessor and the carve-out entity, management should apply judgment. In evaluating their situations, entities should consider all facts and circumstances and are encouraged to consult with accounting advisers.

2.8.5 Expected Credit Losses

ASC 326-20 does not apply to loans and receivables between entities under common control. However, if the carve-out entity and the parent entity are no longer under common control because of the transaction structure, and the carve-out entity and the former parent entity will continue to hold loans and receivables with each other, such loans and receivables will be subject to ASC 326 when the separation is completed. For information about the accounting for expected credit losses, see Deloitte's Roadmap *Current Expected Credit Losses*.

Chapter 3 — Accounting Considerations Related to a Carve-Out Entity's Statement of Comprehensive Income

As with its balance sheet approach, in preparing carve-out financial statements, management can work through most parts of the historical income statement line by line to determine the carve-out entity's revenue and expenses. Because revenue is typically what defines a business, it often is not difficult to attribute revenues to the carve-out entity's financial statements. Complexities may arise, however, when historical intercompany revenues or related-party transactions exist, and when management is determining the appropriate allocation of certain expenses to the carve-out entity.

3.1 Expenses Clearly Applicable

The identification and allocation of expenses directly related to the carve-out entity's revenue-producing activities (e.g., cost of goods sold) may be straightforward and readily available from the entity's historical records through specific identification with the related revenues.

Because there is limited authoritative guidance issued by the FASB on the allocation of other expenses not directly related to the carve-out entity's revenue-producing activities in the carve-out financial statements, entities typically apply the SEC guidance in SAB Topic 1.B.1 (codified in ASC 220-10-S99-3) directly or by analogy when performing such allocations. Questions 1 and 2 of SAB Topic 1.B.1 state:

> **Facts:** A company (the registrant) operates as a subsidiary of another company (parent). Certain expenses incurred by the parent on behalf of the subsidiary have not been charged to the subsidiary in the past. . . .
>
> **Question 1:** Should the subsidiary's historical income statements reflect all of the expenses that the parent incurred on its behalf?
>
> **Interpretive Response:** In general, the staff believes that the historical income statements of a registrant should reflect all of its costs of doing business. Therefore, in specific situations, the staff has required the subsidiary to revise its financial statements to include certain expenses incurred by the parent on its behalf. Examples of such expenses may include, but are not necessarily limited to, the following (income taxes and interest are discussed separately below):
>
> 1. Officer and employee salaries,
> 2. Rent or depreciation,
> 3. Advertising,
> 4. Accounting and legal services, and
> 5. Other selling, general and administrative expenses.
>
> When the subsidiary's financial statements have been previously reported on by independent accountants and have been used other than for internal purposes, the staff has accepted a presentation that shows income before tax as previously reported, followed by adjustments for expenses not previously allocated, income taxes, and adjusted net income.

> **Question 2:** How should the amount of expenses incurred on the subsidiary's behalf by its parent be determined, and what disclosure is required in the financial statements?
>
> **Interpretive Response:** The staff expects any expenses clearly applicable to the subsidiary to be reflected in its income statements. However, the staff understands that in some situations a reasonable method of allocating common expenses to the subsidiary (*e.g.,* incremental or proportional cost allocation) must be chosen because specific identification of expenses is not practicable. In these situations, the staff has required an explanation of the allocation method used in the notes to the financial statements along with management's assertion that the method used is reasonable.
>
> In addition, since agreements with related parties are by definition not at arms length and may be changed at any time, the staff has required footnote disclosure, when practicable, of management's estimate of what the expenses (other than income taxes and interest discussed separately below) would have been on a stand alone basis, that is, the cost that would have been incurred if the subsidiary had operated as an unaffiliated entity. The disclosure has been presented for each year for which an income statement was required when such basis produced materially different results.

Question 1 of SAB Topic 1.B.1 indicates that a subsidiary's historical financial statements "should reflect all of its costs of doing business," including costs incurred on the subsidiary's behalf by its parent. For those costs incurred on the subsidiary's behalf by its parent, Question 2 of SAB Topic 1.B.1 states that "any expenses clearly applicable to the subsidiary [should] be reflected in its income statements." The SEC staff did not provide any further guidance on the determination of which expenses are "clearly applicable" to a subsidiary, and management must use judgment in making such a determination.

For expenses that are "clearly applicable" but for which specific identification is not practicable, management should develop a reasonable allocation method that can be used to allocate the expenses to the carve-out entity. Methods used historically, such as a recurring management fee, are typically not adjusted in the preparation of carve-out financial statements.

Different allocation methods may be determined to be reasonable on the basis of different types of common expenses. Depending on the nature of the expense to be allocated, the following factors may be helpful in an entity's determination of an appropriate allocation:

- Number of employees.
- Square footage used.
- Percentage of inventory.
- Percentage of production.
- Percentage of revenue.
- Percentage of operating income.

Other factors may also be appropriate. An entity should carefully consider its specific facts and circumstances when determining the basis for allocating an expense. For example, head count may be viewed as a reasonable basis of allocation for certain employee costs, while square footage may be viewed as a reasonable basis of allocation for certain occupancy costs.

Historical costs included in the carve-out entity may not be an accurate indicator of the future costs of the carve-out entity. However, any attempt to adjust historical costs in the carve-out entity to reflect future estimated costs is inappropriate.

3.2 Intercompany Transactions

Because the intent of carve-out financial statements is to isolate transactions related to the entity that will be carved out, preparers must (1) identify the types of intercompany transactions that have historically occurred between the carve-out entity and the remaining entities and (2) determine how those transactions and related account balances will be presented in the carve-out financial statements. Although these transactions were originally eliminated in consolidation of the parent entity's financial statements, they generally should not be eliminated from the carve-out financial statements (unless the intercompany transactions take place within the carve-out entity).

To properly account for intercompany balances, an entity must determine when the intercompany payables and receivables will be settled (either before or after the transaction) and by what means (e.g., cash payment or via an equity transaction). For example, it is not uncommon for a parent entity to forgive certain intercompany balances (such as certain intercompany payables); such balances would therefore not result in cash settlement. Consequently, such forgiven amounts would be accounted for as equity contributions in the carve-out financial statements. Conversely, balances that are expected to be settled in cash would be reflected as "due to or from" the parent entity in the carve-out financial statements.

3.2.1 Internal Controls Over Intercompany Balances and Activities

To the extent that there are intercompany transactions between the carve-out entity and parent, management should consider whether the controls in place are sufficiently precise to cover the transactions at an intercompany level. For example, if management uses certain transaction codes to identify intercompany sales, it should consider whether there are controls over the master data inputs and changes to the transaction code field that would ensure that the identification of intercompany amounts is complete and accurate. Further emphasis should be placed on whether the transactions are appropriately reflected within and among the relevant entities so that management can evaluate whether the transactions are completely and accurately stated in the carve-out financial statements. In addition, management should consider granular transaction-level detail in the preparer's systems of record (as opposed to "batched" information, which may not retain all detail related to certain intercompany transactions) to ascertain the nature of certain intercompany balances from a cash flow perspective (e.g., if intercompany cash transfers are recorded in a net intercompany payables account, there may be no visibility into gross borrowings and payments).

Intercompany amounts to consider include, but are not limited to, (1) receivables, payables, notes, and dividends between the remaining entities and the carve-out entity and (2) intercompany sales, costs of goods sold, royalty revenues, and management fees. Particular care must be taken to ensure that these items are properly classified and accounted for by the carve-out entity regardless of how these amounts are captured in the consolidated parent's system (since such amounts were most likely eliminated during consolidation).

3.3 Allocation of Cash-Based Compensation Expense

Management should consider its historical overhead allocations of cash-based compensation expense. Management's allocation of cash-based compensation expense might take into account (1) the carve-out entity's head count as a percentage of total head count, (2) the percentage of employees' time spent working on the business of the carve-out entity, and (3) the carve-out entity's sales (or earnings) as a percentage of total sales (or earnings). If the company had allocated a portion of overall compensation expense to the carve-out entity for previously prepared financial statements, a consistent portion of compensation should also be allocated to the carve-out financial statements.

3.4 Share-Based Payment Awards

Carve-out financial statements should reflect all stock compensation expense attributable to the carve-out entity. The associated expense may be specifically attributable to a stock compensation plan of the carve-out entity or allocated to the carve-out entity. If a stock compensation plan is directly attributable to the carve-out entity (e.g., the carve-out entity is a separate legal entity with its own stock compensation plan), the related stock compensation expense should be included in the carve-out financial statements.

Since stock compensation information is available at the individual-employee level, the determination of the related expense to be included in the carve-out entity is generally straightforward unless the expense is related to employees who spend only a portion of their time on the carve-out entity's business. In such cases, a reasonable and supportable allocation method should be used (see Section 3.1 for further discussion). Management's method of allocating share-based compensation expense is typically the same as its method of allocating cash-based compensation expense, as described in Section 3.3.

In addition, the notes to the carve-out financial statements must comply with the disclosure requirements in ASC 718. For a carve-out of a separate legal entity with its own stock compensation plan, the carve-out entity should present its ASC 718 disclosures at the level of its own plan. In situations in which stock compensation was allocated to the carve-out entity for employees that were dedicated to the entity, the carve-out entity should disclose in its financial statements information similar to that provided in the parent's consolidated stock compensation disclosures (e.g., price, quantity, term) along with the allocation method.

For information about the accounting for share-based compensation awards (including accounting for modifications to awards), see Deloitte's Roadmap *Share-Based Payment Awards*.

3.4.1 Modifications to Awards

In contemplation of a carve-out transaction, management may choose to modify stock compensation awards. In addition, such awards may have a provision in which their vesting is accelerated because of the carve-out transaction's completion. Management should consider how much of (1) the incremental compensation costs from a modification and (2) the costs associated with the acceleration of vesting (if any) should be allocated to the carve-out entity.

3.4.1.1 Incremental Compensation Costs From a Modification

ASC 718-10-20 defines a modification as a "change in the terms or conditions of a share-based payment award." A modification under ASC 718 is viewed as an exchange of the original award for a new award, typically one with equal or greater value. Any incremental value of the new (or modified) award usually is recorded as additional compensation cost on the modification date (for vested awards) or over the remaining service (vesting) period (for unvested awards). The incremental value (i.e., incremental compensation cost) is computed as the excess of the fair-value-based measure of the modified award on the modification date over the fair-value-based measure of the original award immediately before the modification.

In addition to considering whether a modification results in incremental compensation cost that must be recognized, an entity must determine whether it should recognize the award's original grant-date fair-value-based measure. Generally, total recognized compensation cost attributable to an award that has been modified is at least the grant-date fair-value-based measure of the original award unless the original award is not expected to vest under its original terms (i.e., the service condition, the performance condition, or neither is expected to be achieved). Therefore, total recognized compensation cost attributable to an award that has been modified is typically the sum of (1) the grant-date fair-value-based measure of the original award for which the required service has been provided (i.e., the number of awards that have been earned) or is expected to be provided and (2) the incremental compensation cost conveyed to the holder of the award as a result of the modification. However, if the original award is not expected to vest under its original terms, any compensation cost recognized is based on the modification-date fair-value-based measure of the modified award (i.e., the grant-date fair-value-based measure of the original award is disregarded).

In contemplation of a carve-out transaction, an entity may decide to add a nondiscretionary, antidilution provision to its stock awards. An entity that adjusts the terms of an award to maintain the holder's value in response to an equity restructuring (e.g., a spin-off) could trigger the recognition of significant compensation cost if (1) the adjustment is not required under the existing terms of the award and (2) the provision that requires an adjustment is added in contemplation of an equity restructuring. If an entity does not contemplate an equity restructuring when it adds an antidilution provision, the addition would generally result in the same fair-value-based measure before and after the modification. While adding a nondiscretionary antidilution provision generally increases the value of an award, a market participant would typically not place significant value on such a provision if an equity restructuring is not anticipated since it would be difficult to determine the provision's effect on the valuation of the award. Accordingly, modification accounting would not be applied as long as there are no other changes to the award that would affect vesting or classification. As a result, no incremental compensation cost would be recorded. In determining whether an adjustment is required in the event of an equity restructuring (i.e., whether the antidilution provision is nondiscretionary or discretionary), an entity should carefully review the terms of its awards and may need to obtain the opinion of legal counsel. See Chapter 6 of Deloitte's Roadmap *Share-Based Payment Awards*, particularly Section 6.5.1.3, for additional information.

3.4.1.2 Costs Associated With the Acceleration of Vesting

Vesting for share-based payment awards may be accelerated in connection with a carve-out (e.g., through either a modification or a preexisting change-in-control provision). Questions have arisen regarding whether an entity should allocate to the carve-out financial statements any of the costs associated with the acceleration of vesting (including accelerated recognition of previously unrecognized compensation costs as well as incremental compensation costs, if any, recorded as a result of modification accounting).

The carve-out financial statements would include compensation costs associated with the acceleration of vesting if those costs are related to awards held by employees of the carve-out entity. Conversely, compensation costs associated with the acceleration of vesting of awards held by employees of the parent generally would not need to be attributed to the carve-out entity unless those employees have otherwise been providing services to the carve-out entity, in which case an allocation of such costs might be necessary. If, however, the costs are related to the acceleration of vesting for awards issued to service providers associated with the carve-out transaction (e.g., a success fee owed by the parent entity to an investment banker), such costs should be evaluated under SAB Topic 1.B.1 as discussed in Section 3.1 to determine whether they represent a cost attributable to the carve-out business. Management will need to exercise judgment in making that determination.

Many modifications are made before a transaction (e.g., an IPO) date but are not effective unless the transaction occurs. While the date on which the contingent modification is made is generally the modification date used in the measurement of compensation cost, the accounting consequence may not be recognized until the transaction's effective date if the modification is contingent on the transaction's occurrence. For example, an award could be modified to increase the quantity of underlying shares upon a successful IPO. In such a circumstance, any additional compensation cost (as determined on the modification date) would not be recognized until the IPO is effective since IPOs are typically not considered probable until they occur.

3.5 Income Taxes

It is critical for an entity to assess and understand the legal structure of the operations to be included in carve-out financial statements because it will be a primary factor for determining whether and, if so, how income taxes are accounted for in those financial statements.

ASC 740-10-30-27 requires a group of entities that files a consolidated tax return to allocate the "consolidated amount of current and deferred tax expense . . . among the members of the group when those members issue separate financial statements." For income tax accounting purposes, a "member" is generally a taxable legal entity (i.e., a corporation or an LLC that has elected to be taxed as a corporation) that is included in the parent's consolidated tax return. Thus, if the carve-out entity comprises one or more taxable legal entities that are included in the parent's consolidated tax return (as might be the case if the carve-out financial statements are being prepared in connection with a spin-off of a subsidiary), an allocation of current and deferred income tax expense is explicitly required under ASC 740-10-30-27.[1]

ASC 740-10-30-27 does not prescribe a particular method for allocating current and deferred income taxes in the income statement of separate financial statements of a member; rather, it requires only the use of a systematic and rational method that is consistent with the broad principles established by ASC 740. Several income tax allocation methods may meet the requirements of ASC 740-10-30-27, including the commonly applied separate-return and parent-entity-down methods. Question 3 of SAB Topic 1.B.1 states that for public entities, the separate-return approach is preferable to other approaches and that, if an approach other than the separate-return approach is used, a pro forma income statement that reflects a tax provision prepared under the separate-return method must be provided. For this reason, entities often use the separate-return method to allocate income taxes in carve-out financial statements that will be included in an SEC filing.

See Section 8.2 of Deloitte's Roadmap *Income Taxes* for additional guidance on the allocation of income taxes in carve-out financial statements.

3.6 Exit or Disposal Costs

In preparing for a carve-out transaction, the parent entity may restructure portions of its business, thereby incurring exit or disposal costs. These costs should be analyzed for allocation to the carve-out entity in accordance with the guidance in Section 3.1. In addition, the parent entity may have incurred exit or disposal costs in historical periods. In preparing carve-out financial statements, the parent entity will have to make determinations about the balance sheet effects, if any, of its prior restructuring activities. See Section 2.8 for considerations related to the identification of the carve-out entity's liabilities.

[1] An allocation of current and deferred taxes would also be required by SAB Topic 1.B.1 for the carve-out financial statements of certain nonmembers (i.e., divisions and lesser components of another entity) if such financial statements are to be filed with the SEC. See Deloitte's Roadmap *Income Taxes* for additional guidance.

3.7 Transaction-Related Costs

Entities may incur certain transaction costs in connection with a carve-out transaction, such as accounting and tax fees, legal fees, investment banking fees, and employee benefit costs. These transaction-related costs should be analyzed for timing of recognition and allocation to carve-out entities in accordance with the guidance in Section 3.1. If they are contingent on the closing of the carve-out transaction, entities may apply the guidance in ASC 420 and ASC 805-20-55-50 and 55-51 by analogy. In accordance with this guidance, the costs should not be recorded until closing because of the uncertainties involved (in a manner consistent with the accounting for costs associated with the acceleration of vesting of share-based payment awards as described in Section 3.4.1.2).

Entities may sometimes give bonuses to employees for the successful divestiture of a carve-out entity. If these employees do not work for the carve-out entity, such transaction bonuses should not be allocated to the carve-out entity.

3.8 Post-Carve-Out Transaction Agreements

Carve-out entities often enter into various post-transaction-related agreements with the former parent entity (e.g., tax-sharing agreements or transition-services agreements). After separation, these agreements may have a considerable impact on the carve-out entity's financial results. The terms of any such agreements should be evaluated to determine whether substance differs from form (e.g., the substance of a transition-services agreement may be a distribution to the former parent as opposed to payments for transition services rendered).

Chapter 4 — Other Accounting and Financial Reporting Items

4.1 Statement of Cash Flows

In developing a statement of cash flows to be presented in carve-out financial statements, management must use judgment and make estimates to determine and report various cash flow components. It may be best for management to first develop the carve-out balance sheet and income statement before developing the statement of cash flows since most components of the cash flow statement are derived from the balance sheet accounts. For example, after management determines the proper balance sheet allocation of fixed assets to the carve-out entity, it must consider the related cash flow statement implications associated with these balances (e.g., additions, disposals, and depreciation expense). These amounts should be derived from the parent entity's historical financial statements and would generally not be adjusted for information identified after the issuance of the parent-entity financial statements unless the adjustment is required by U.S. GAAP or other regulatory guidance (see Section 4.7 for further discussion).

4.1.1 Intercompany Transactions

The carve-out entity's statement of cash flows typically will be similar to that of the parent entity. However, differences may arise as a result of the presentation of the cash flow effects of intercompany transactions. As discussed in Section 3.2, although intercompany transactions are eliminated in consolidation of the parent entity's financial statements, they generally should not be eliminated from the carve-out financial statements unless they are transactions that take place exclusively within the carve-out entity. Once management determines whether intercompany activities should be reflected in the carve-out entity's statement of cash flows, it must classify cash receipts and cash payments related to each activity as operating, investing, or financing on the basis of the nature of that activity in accordance with the guidance in ASC 230.

As discussed in Section 2.8.1, a parent entity may have arrangements in place in which excess cash across the entity is pooled or swept to one or more centralized cash management accounts. When preparing carve-out financial statements of a portion of an entity that uses a centralized cash management arrangement, management must make determinations about the presentation in the carve-out entity's balance sheet of any amounts resulting from participation in the cash pool. Management should also determine how the carve-out entity's deposits to and distributions from the cash pool should be classified in the carve-out entity's statement of cash flows, and it must determine whether such transactions will be presented by the carve-out entity gross or net.

When a carve-out entity determines that it is appropriate to present amounts due from or due to its parent that result from a cash pool arrangement as intercompany receivables or payables, the transactions will typically be classified in the carve-out entity's statement of cash flows as investing or financing depending on whether the amount is due from or due to the parent entity. Alternatively, when a carve-out entity determines that it is appropriate to report the effects of transactions with the cash pool arrangement within equity as part of the parent's net investment, the transactions will typically be classified as financing in the carve-out entity's statement of cash flows. For further discussion of considerations related to reporting of centralized cash management arrangements in the statement of cash flows, see Deloitte's Roadmap *Statement of Cash Flows*.

4.2 Discontinued Operations

4.2.1 Discontinued Operations — Carve-Out Entity

When the financial statements of the carve-out entity reflect a disposal of a component of the carve-out entity, management must determine whether it should present the disposal as a discontinued operation in the carve-out financial statements even if the disposal did not qualify for discontinued-operations presentation in the parent entity's consolidated financial statements. Specifically, management would consider the guidance in ASC 205-20-45-1B on reporting a discontinued operation, which states, in part:

> A disposal of a component of an entity or a group of components of an entity shall be reported in discontinued operations if the disposal represents a strategic shift that has (or will have) a major effect on an entity's operations and financial results.

Management's determination that a portion of the carve-out entity's operations should be presented in discontinued operations will also affect the carve-out entity's statement of cash flows. See Deloitte's Roadmap *Statement of Cash Flows* for further discussion. For additional guidance on reporting discontinued operations, see Deloitte's Roadmap *Impairments and Disposals of Long-Lived Assets and Discontinued Operations*.

4.2.2 Discontinued Operations — Parent

Under ASC 205-20, the parent entity is required to evaluate whether the effect of a disposal resulting from a carve-out transaction should be presented as a discontinued operation. Depending on the form of the carve-out transaction, this evaluation may occur when the carve-out entity (1) meets the criteria in ASC 205-20-45-1E to be classified as held for sale, (2) is disposed of by sale, or (3) is disposed of other than by sale in accordance with ASC 360-10-45-15 (e.g., by abandonment or in a distribution to owners in a spin-off). If the disposal meets the conditions to be reported as a discontinued operation by the parent entity, it would be unlikely that amounts presented as discontinued operations for the disposal in the parent-entity financial statements would equal the operations reflected in the carve-out entity's financial statements (e.g., because of differences between how expenses may have been allocated in the carve-out financial statements and how expenses associated with the discontinued operation are determined).

4.3 Earnings per Share

The presentation of earnings per share (EPS) generally depends on whether the carve-out financial statements are consolidated or combined. In audited financial statements, combined carve-out financial statements typically do not include historical basic or diluted EPS because carve-out entities constitute a number of different businesses or operations (i.e., rather than a single consolidated legal entity) and, accordingly, do not have a separate and independent common equity capital structure until the transaction is consummated (see Section 2.1 for discussion of the presentation of net parent investment equity for carve-out entities). For this reason, typically only unaudited pro forma EPS is presented for carve-out entities (and such information is presented outside the financial statements).

However, the audited consolidated financial statements of existing subsidiaries that prepare stand-alone consolidated financial statements generally include basic and diluted EPS. In these situations, the denominator of the EPS calculation reflects the actual common shares and potential common shares of the existing subsidiary that were historically outstanding. In addition, unaudited pro forma EPS is typically presented outside the financial statements when changes in the capital structure of the existing subsidiary are expected to occur in conjunction with the transaction (e.g., stock splits, reverse stock splits, or conversions or redemptions of outstanding convertible securities).

For additional discussion of considerations related to a carve-out entity's reporting of EPS, see Section 8.6 of Deloitte's Roadmap *Earnings per Share*.

4.4 Accounting Policies of the Carve-Out Entity

In preparing carve-out financial statements, the carve-out entity should retain the historical accounting policies that the parent entity applied to it while it was part of the parent entity.

If the carve-out entity is acquired in a business combination, the acquirer may choose to conform the accounting policies of the carve-out entity to its own. If acquisition accounting results in a new basis of accounting for the carve-out entity, the acquirer's accounting policies would be applied without regard to the carve-out entity's previous accounting policies and there would be no need to assess the preferability of the acquirer's policies. See Deloitte's Roadmap *Consolidation — Identifying a Controlling Financial Interest* for more information about adopting accounting policies in connection with a change in control.

If the carve-out entity is acquired in a business combination and pushdown accounting is not applied, the carve-out entity would continue to apply the policies it applied in its stand-alone financial statements before the acquisition, which may differ from the acquirer's accounting policies. If the carve-out entity wanted to adopt the acquirer's policies in its stand-alone financial statements in the absence of pushdown accounting, such a choice would typically represent a voluntary change in accounting principle under ASC 250-10.

If the carve-out entity is spun off, it would continue to apply the policies it applied before the spin-off in its stand-alone financial statements. If the carve-out entity's management wants to adopt an accounting policy that differed from one it applied while part of the former parent entity, such a decision would typically represent a voluntary change in accounting principle under ASC 250-10.

Under ASC 250-10, voluntary changes in accounting principles are permitted only if the new accounting principle is preferable. Changes in accounting principles generally need to be applied retrospectively and disclosed in accordance with ASC 250-10. However, not all changes in accounting policies represent changes in accounting principle. For example, an entity may have a policy of expensing all purchases of fixed assets below a certain threshold. Such a policy represents a convention, not an accounting principle. Determining whether a change in accounting policy is a change in accounting principle involves judgment, and a carve-out entity should carefully consider the facts and circumstances.

For public carve-out entities, as indicated in SAB Topic 6.G.2(b), a registrant that makes a material change in its method of accounting is required under SEC Regulation S-X, Rule 10-01(b)(6), to (1) indicate "the date of and the reason for the change" and (2) obtain and file as an exhibit, in its first Form 10-Q after the change, a letter from its independent accountants stating that in their judgment, the change in method is preferable under the registrant's circumstances.

For additional discussion and interpretations of SEC reporting requirements related to a change in accounting policy, see SAB Topic 6.G.2(b) and paragraph 4230.2(c) in the SEC Division of Corporation Finance's Financial Reporting Manual (FRM).

4.5 Segment Reporting

Under ASC 280, carve-out financial statements for public entities (as defined in ASC 280, subject to the scope exceptions in ASC 280-10-15-3) must include reportable segment disclosures for all periods presented. Nonpublic entities are not required to provide segment disclosures.

As discussed in Section 2.2.1, management must first determine the reporting structure and operating segments of the carve-out entity.[1] Because the reporting structure of the carve-out entity may differ from that of the parent, the carve-out entity's operating segments could be different as well. Next, management must determine the reportable segments in accordance with the criteria in ASC 280-10-50-10, which states, in part:

> A public entity shall report separately information about each operating segment that meets both of the following criteria:
>
> a. Has been identified in accordance with paragraphs 280-10-50-1 and 280-10-50-3 through 50-9 or results from aggregating two or more of those segments in accordance with the following paragraph
>
> b. Exceeds the quantitative thresholds in paragraph 280-10-50-12.

Because the intent of carve-out financial statements is to isolate the carve-out entity's operations from the parent's financial statements, the amounts used to determine the quantitative thresholds (mentioned in ASC 280-10-50-10(b) above) would be based on the carve-out entity.

For more information on this topic, see Deloitte's Roadmap *Segment Reporting*.

4.6 Related-Party Disclosures

Upon the preparation of carve-out financial statements, certain intercompany transactions that were historically eliminated in the consolidated parent-entity financial statements may no longer be removed. Instead, such transactions would represent related-party transactions that must be disclosed in accordance with ASC 850. Further, for carve-out financial statements that are filed with the SEC (e.g., financial statements for a registrant and its predecessor and a significant acquiree under SEC Regulation S-X, Rule 3-05), management must consider the additional SEC financial reporting requirements under SEC Regulation S-X, Rule 4-08(k), as well as proxy-related disclosures.

In addition, certain existing business relationships with the parent entity, for example, or with subsidiaries that are not part of the carve-out transaction (including members of management and the parties' boards of directors) may continue after the carve-out transaction is completed. If so, management of the carve-out entity must evaluate whether those transactions continue to represent related-party transactions.

4.7 Subsequent Events

A carve-out entity's financial statements must include subsequent-event disclosures if applicable. Because the carve-out financial statements are derived from the previously issued parent-entity financial statements, the carve-out financial statement disclosures may simply be a subset of the previously issued parent-entity subsequent-event disclosures. Therefore, management would identify only

[1] The carve-out entity may be required to determine operating segments regardless of whether it must include segment disclosures in its financial statements under ASC 280, since this determination affects the identification of the carve-out entity's reporting units for goodwill impairment testing purposes.

subsequent events related to the carve-out entity and would include such disclosures in the carve-out financial statements. However, since carve-out financial statements are most likely subject to lower materiality thresholds for disclosure, previously immaterial subsequent events that may not have been disclosed in the parent-entity financial statements may be material to the carve-out entity and therefore may be subject to disclosure in the carve-out financial statements.

We believe that when management evaluates subsequent events in the carve-out financial statements, it should apply the same subsequent-event cutoff dates used for the previously issued parent-entity financial statements when considering potential "recognized" subsequent events. However, when evaluating potential disclosures in the carve-out financial statements, management should consider subsequent events through the date on which the financial statements are issued (for SEC filers) or are available to be issued. If new events are identified after the issuance of the parent-entity financial statements and before the issuance of the carve-out financial statements, the carve-out financial statements may include disclosure of additional subsequent events but typically would not include recognition of the impact of such events (excluding identified errors). This approach is based on a reissuance framework — the premise that carve-out financial statements represent a reissuance of financial statements for subsequent-event purposes. The reissuance guidance in ASC 855-10-25-4 states:

> An entity may need to reissue financial statements, for example, in reports filed with the SEC or other regulatory agencies. After the original issuance of the financial statements, events or transactions may have occurred that require disclosure in the reissued financial statements to keep them from being misleading. An entity shall not recognize events occurring between the time the financial statements were issued or were available to be issued and the time the financial statements were reissued unless the adjustment is required by GAAP or regulatory requirements. Similarly, an entity shall not recognize events or transactions occurring after the financial statements were issued or were available to be issued in financial statements that are later reissued in comparative form along with financial statements of subsequent periods unless the adjustment meets the criteria stated in this paragraph.

We believe that under this framework, when management is preparing carve-out financial statements for the first time but their content was included in the consolidated results of a parent entity, it should generally not recognize amounts that differ from those that were previously recognized in the parent-entity financial statements on the basis of information that becomes available after the date on which the parent-entity financial statements were issued or were available to be issued. However, management should determine whether such currently available information represents information that management (1) was aware of and misapplied or (2) should have been aware of. Errors identified during the development of the carve-out financial statements that meet the criteria for the correction of an error or for a prior-period adjustment should be evaluated and accounted for in accordance with ASC 250. Management should use judgment in performing such an evaluation.

We understand that, when preparing carve-out financial statements, management of some entities has contemplated a framework under which the issuance of the carve-out entity's financial statements is viewed as the initial issuance of those financial statements. Under this framework, the latest period presented in the carve-out financial statements is evaluated for recognized subsequent events through the date on which the carve-out financial statements are issued or are available to be issued. This approach, by not relying on the same subsequent-event cutoff dates used for the previously issued parent-entity financial statements, may result in the reporting of the accounting impacts of certain events that affect the carve-out entity in a financial statement reporting period that differs from that of the parent entity. An entity that contemplates such an approach is encouraged to consult with its professional advisers to ensure that it evaluates the potential effects of the approach on other judgments and assumptions used in the preparation of the carve-out financial statements (e.g., goodwill allocation [see Section 2.2] and goodwill impairment testing [see Section 2.2.2]).

4.7.1 Disclosure of Date Through Which Subsequent Events Were Evaluated — Initial Registration Statement

Under ASC 855, SEC filers are defined as including only entities that are required to file financial statements with the SEC (or with another appropriate agency in accordance with the Securities Exchange Act of 1934 [the "Exchange Act"]). Because an entity that files financial statements in an initial registration statement is not required to file its financial statements with the SEC until the registration statement is declared effective, it does not meet the definition of an SEC filer under ASC 855 and therefore must disclose the date through which management evaluated subsequent events in the financial statements. Similarly, the definition of an SEC filer in ASC 855 does not encompass an entity whose financial statements are included in an SEC registrant's filing. Accordingly, when an SEC registrant's filing includes financial statements of an entity that is not considered an SEC filer under ASC 855 (e.g., financial statements of a significant acquiree under Rule 3-05), the non-SEC filer must disclose the date through which subsequent events have been evaluated and whether that date was the date of issuance or the date on which the non-SEC filer's financial statements were available to be issued.

4.8 Effective Dates for Certain Accounting Standards

The effective dates for certain new accounting standards, disclosure requirements, and permitted accounting alternatives are based on various factors, including whether the entity meets the definition of a public business entity (PBE), an SEC filer, an emerging growth company (EGC), or a smaller reporting company (SRC). For guidance on making these determinations, see Sections 3.2 and 3.3 of Deloitte's Roadmap *Initial Public Offerings*, which address the carve-out financial statements of a registrant and its predecessor, and Section 2.6 of Deloitte's Roadmap *SEC Reporting Considerations for Business Acquisitions*, which addresses the carve-out financial statements of an acquired or to be acquired business.

Chapter 5 — SEC Reporting Topics

As discussed in Section 1.1, there are several situations in which carve-out financial statements may be requested (or required) in an SEC filing. Preparation of carve-out financial statements is often complex, and the form and content of those financial statements may vary depending on the requirements of the users of the financial statements or any applicable regulations.

Circumstances in which carve-out financial statements may be requested (or required) to meet the SEC's requirements include the following:[1]

- *Registrant and its predecessor* — Carve-out financial statements that comply with the general financial statement requirements in SEC Regulation S-X, Rules 3-01 through 3-04, may be required for a registrant and its predecessor in an initial registration statement (e.g., Form 10, Form S-1, Form S-4).[2] In addition, these carve-out financial statements of the registrant and its predecessor would be provided in Forms 10-K and 10-Q after the initial registration statement is declared effective (see Section 5.1).
- *Businesses acquired or to be acquired* — When a registrant acquires, or it is probable that it will acquire, a significant business (acquiree), the registrant may be required to file certain acquiree financial statements in accordance with SEC Regulation S-X, Rule 3-05. These financial statements, which may be in the form of carve-out financial statements or abbreviated financial statements, may be required in a Form 8-K, a registration statement, or a proxy statement (see Section 5.2).
- *Acquired or to be acquired real estate operations* — When a registrant acquires, or it is probable that it will acquire, significant real estate operations,[3] the registrant may be required to file abbreviated income statements for the acquired or to be acquired real estate operations in accordance with SEC Regulation S-X, Rule 3-14. These abbreviated income statements may be required in a Form 8-K, a registration statement, or a proxy statement (see Section 5.3).

The sections below discuss the form and content of carve-out financial statements under the various SEC requirements.

[1] Carve-out financial statements may also be provided in a nonpublic offering, such as a private placement in accordance with SEC Regulation D or Rule 144A of the Securities Act of 1933 (the "Securities Act"). While the requirements discussed in this chapter do not strictly apply to private offerings, it is generally standard practice to comply with these rules as if they were applicable.

[2] As noted in Section 5.2.3, the SEC may consider requests to provide abbreviated financial statements for an acquired business identified as a predecessor of the registrant.

[3] Regulation S-X, Rule 3-14(a)(2)(i), states that "the term *real estate operations* means a business (as set forth in [Regulation S-X, Rule 11-01(d)]) that generates substantially all of its revenues through the leasing of real property." Examples of real estate operations include office, apartment, and industrial buildings, as well as shopping centers and malls.

5.1 Financial Statements for a Registrant and Its Predecessor

Two examples of situations in which carve-out financial statements may be included in an initial registration statement for the registrant and its predecessor would be (1) a public entity's planned spin-off of a business or group of businesses to shareholders as a separate public company and (2) a sale of a portion of a company to the public in an initial equity offering or a merger with a SPAC. Other, less common transactions, such as put-together transactions, drop-down transactions, split-offs, and "Up-C" transactions, may result in a similar carve-out presentation for a registrant and its predecessor.

In these circumstances, management must take into account the following considerations related to reporting and financial statement form and content in preparing carve-out financial statements for the registrant and its predecessor in an initial registration statement:

- The general financial statement requirements in Rules 3-01 through 3-04 must be applied; the number of audited periods (two or three years) will depend on the registrant's filer category (e.g., EGC,[4] non-EGC, SRC[5]).
- Management must apply SEC reporting and disclosure requirements (e.g., those in Regulation S-X, Staff Accounting Bulletins, Financial Reporting Releases [FRRs], and Compliance and Disclosure Interpretations [C&DIs]).
- Public-entity[6] accounting principles must be applied.
- Private-company reporting alternatives in U.S. GAAP, including those developed by the PCC and subsequently endorsed by the FASB, cannot be applied in carve-out financial statements for the registrant and its predecessor; therefore, the effects of any previously elected private-company alternatives must be eliminated (e.g., amortization of goodwill).
- Transition provisions related to the adoption of new accounting standards must be evaluated. See Section 4.8 for a discussion of effective dates.
- The independent registered public accounting firm must apply PCAOB standards in auditing the financial statements included in a registration statement filed with the SEC. In certain circumstances, the auditor's report is required to refer to both auditing standards generally accepted in the United States (i.e., AICPA standards) and PCAOB standards related to financial statement audits of certain nonissuers, including, but not limited to, entities that (1) confidentially submit an initial public registration statement under the Jumpstart Our Business Startups (JOBS) Act, (2) voluntarily submit a registration statement to the SEC staff for nonpublic review before a public filing, and (3) file a Form 10 to effect an initial registration of securities (i.e., a spin-off from a public parent entity). Unless the registrant is an EGC, the auditor's report must include communication of critical audit matters.
- Unaudited interim financial statements and related footnote disclosures may be required depending on the time that has elapsed between the most recent fiscal year and the filing of the initial registration statement and any subsequent amendments through the date the registration statement is declared effective.

[4] While an EGC would generally present two years of financial statements for its initial equity offering, it would typically be required to present three years of financial statements for an IPO of debt securities or a registration statement on Form 10 for a spin-off or direct listing.

[5] A registrant that qualifies as an SRC, as defined in SEC Regulation S-K, Item 10(f)(1), may choose to prepare its disclosures by relying on the scaled disclosure requirements in SEC Regulation S-X, Article 8, and present two years of financial statements rather than three. For more information on SRCs, see Section 1.5 of Deloitte's Roadmap *Initial Public Offerings*.

[6] The term "public entity" is generally used to refer to an entity that files its financial statements with the SEC. However, there are various definitions of public or nonpublic entities in U.S. GAAP depending on which ASC topic is being applied (e.g., ASC 280 on segment reporting). Some ASC topics may refer to a "public business entity" as defined in the ASC master glossary; others may refer to "SEC filer" as defined in the ASC master glossary.

An initial registration statement, in addition to containing the carve-out financial statements of the registrant and its predecessor, must also meet certain SEC reporting requirements.[7] Under those requirements, it may be necessary to incorporate other financial information, such as other entities' financial statements, into the initial registration statement. Such financial information would include, but would not be limited to, information about acquired or to be acquired businesses or real estate operations, equity method investments, guarantees or collateralizations, material quarterly retrospective changes, management's discussion and analysis, and pro forma effects. For more information about financial statement and disclosure requirements in a registration statement for an IPO, see Deloitte's Roadmap *Initial Public Offerings*.

Changing Lanes

On March 6, 2024, the SEC issued a final rule that requires public companies to provide enhanced and standardized climate-related disclosures. On April 4, 2024, the SEC voluntarily stayed the effective date of the final rule pending judicial review of petitions challenging it. Once the final rule is effective, carve-out entities completing an IPO or spin-off will be subject to its requirements. For more information about the final rule, see Deloitte's March 15, 2024 (updated April 8, 2024), *Heads Up*.

The SEC also issued a final rule on January 24, 2024, to address SPAC transactions. The final rule is intended to "more closely align the treatment of private operating companies [target companies] entering the public markets through de-SPAC transactions with that of companies conducting traditional IPOs." For more information about the final rule as well as SPACs, see Deloitte's February 6, 2024, *Heads Up*.

5.2 Financial Statements of Businesses Acquired or to Be Acquired (SEC Regulation S-X, Rule 3-05)

Carve-out financial statements are often used to satisfy the requirements of Rule 3-05, under which a registrant must file separate preacquisition historical audited financial statements when the registrant and its predecessor acquire (or it is probable that they will acquire) selected parts of an entity that meet the definition of a business[8] that is significant. The number of audited financial statement periods that must be filed (i.e., one or two years of audited financial statements) will be based on the significance level determined by performing the tests described in SEC Regulation S-X, Rule 1-02(w) (i.e., the asset, income, or investment test). Unaudited financial statements as of and for the appropriate interim periods preceding the acquisition may also be required. In addition, the registrant must provide pro forma financial information in accordance with SEC Regulation S-X, Article 11, to reflect the acquisition.

Sections 5.2.1 through 5.2.4 discuss various considerations related to reporting and financial statement form and content when carve-out financial statements are filed to meet the requirements of Rule 3-05. For additional SEC interpretive guidance on Rule 3-05, see Chapter 2 of Deloitte's Roadmap *SEC Reporting Considerations for Business Acquisitions*.

[7] SRCs should consider the requirements in SEC Regulation S-X, Article 8, and Section 1.5 of Deloitte's Roadmap *Initial Public Offerings*.

[8] Separate financial statements of an acquiree are required only if the acquiree meets the definition of a business under Rule 11-01(d). The definition of a business for SEC reporting purposes is not the same as the definition for U.S. GAAP accounting purposes. See Section 2.1.1 of Deloitte's Roadmap *SEC Reporting Considerations for Business Acquisitions* for further discussion of the definition of a business for SEC reporting purposes.

5.2.1 Form and Content of Acquiree Carve-Out Financial Statements

While the determination of the number of audited financial statement periods to be presented for an acquiree is based on the level of significance, the form and content of the acquiree's carve-out financial statements are generally the same as if the acquiree were a registrant and must meet the relevant requirements of SEC Regulation S-X[9] and U.S. GAAP.[10] Supplemental schedules under SEC Regulation S-X, Articles 5 and 12, are not required. The disclosures required will depend on whether the carve-out entity is a public entity[11] or a PBE (see Section 5.2.2) in accordance with U.S. GAAP.

If the acquiree is not a public entity, it does not have to provide the disclosures required under U.S. GAAP that apply only to public companies. For example, disclosures about the following would not be required in such a case:

- EPS, if the acquiree does not have "publicly held common stock or potential common stock," as stated in ASC 260-10-05-1 and as further defined in ASC 260-10-15-2.
- Segment information, if the acquiree does not meet the definition of a public entity under ASC 280-10-20.
- Certain disclosures identified in ASC 715-20-50-5 about employers' pensions and other postretirement benefits, if the acquiree meets the definition of a nonpublic entity under ASC 715-20-20.

5.2.2 Public Business Entities

The definition of a PBE in the ASC master glossary includes a business entity that is required by the SEC "to file or furnish financial statements, or does file or furnish financial statements (including voluntary filers), with the SEC (**including other entities whose financial statements or financial information are required to be or are included in a filing**)" (emphasis added). Therefore, PBEs include entities whose financial statements or financial information is required under Rule 3-05 and other SEC regulations, and such carve-out financial statements must address the PBE requirements in U.S. GAAP even if the entity is not considered a "public entity" as defined in U.S. GAAP.

Entities that meet the definition of a PBE are not eligible to elect certain accounting and reporting alternatives in U.S. GAAP, including those developed by the PCC and subsequently endorsed by the FASB. Accordingly, such private-company accounting alternatives cannot be applied in carve-out financial statements of an acquiree under Rule 3-05. Further, the effects of any previously elected private-company accounting alternatives would have to be eliminated in the financial statements that management prepared to comply with Rule 3-05.[12]

In addition, a company that is not a PBE is permitted to use certain practical expedients (e.g., the risk-free rate as its discount rate when applying ASC 842). As discussed at the October 2020 CAQ SEC Regulations Committee joint meeting with the SEC staff, the staff indicated that it would not object to a registrant's use of financial statements that reflect the risk-free rate practical expedient to measure

[9] Such requirements include classification of redeemable securities or securities whose redemption is outside the control of the issuer as temporary equity in accordance with (1) SEC Regulation S-X, Rule 5-02.27, and (2) ASR 268 (FRR Section 211).

[10] If the acquiree is a foreign business or a foreign private issuer, see Topic 6 of the FRM.

[11] As defined in the ASC master glossary, a public entity is "[a] business entity or a not-for-profit entity that meets any of the following conditions:
a. It has issued debt or equity securities or is a conduit bond obligor for conduit debt securities that are traded in a public market (a domestic or foreign stock exchange or an over-the-counter market, including local or regional markets).
b. It is required to file financial statements with the Securities and Exchange Commission (SEC).
c. It provides financial statements for the purpose of issuing any class of securities in a public market."

[12] In accordance with the definition of a PBE in the ASC master glossary, an "entity may meet the definition of a public business entity solely because its financial statements or financial information is included in another entity's filing with the SEC. In that case, the entity is only a public business entity for purposes of financial statements that are filed or furnished with the SEC." Accordingly, an acquiree can elect to use private-company accounting alternatives in its stand-alone financial statements that are not included in an SEC filing. However, an acquiree that makes such an election would be required to maintain two sets of accounting records and financial information.

the significance of an acquisition. However, the staff clarified that financial statements provided in accordance with Rule 3-05 are PBE financial statements and thus may not reflect the risk-free rate practical expedient. Therefore, a registrant would need to assess whether an adjustment to the PBE rate is material and must be revised before providing such financial statements in accordance with Rule 3-05. For additional information, see Section 2.6 of Deloitte's Roadmap *SEC Reporting Considerations for Business Acquisitions*.

5.2.3 Abbreviated Financial Statements

There may be situations in which it is not practicable for management to prepare full carve-out financial statements of an acquiree, such as when the acquiree is a small portion or a product line of a much larger business and separate financial records were not maintained. In such instances, the SEC staff allows registrants to file abbreviated financial statements — that is, audited statements of assets acquired and liabilities assumed (in lieu of a full balance sheet), and audited statements of revenues and direct expenses (in lieu of a full statement of operations) — to satisfy the financial statement requirements of Rule 3-05, provided that certain qualifying conditions as well as presentation and disclosure requirements are met. In addition, Rule 3-05(f) allows a registrant to provide a form of abbreviated financial statements for an acquired or to be acquired business that includes significant oil-and-gas-producing activities. For additional information, see Section 2.6.4 of Deloitte's Roadmap *SEC Reporting Considerations for Business Acquisitions*.

5.2.4 Other Considerations Related to Carve-Out Financial Statements of an Acquiree

When **audited** financial statements of an acquiree are provided under Rule 3-05, the audit must be performed in accordance with AICPA standards but compliance with PCAOB standards is not required.[13] SEC regulations generally do not require registrants to obtain an audit or review of interim financial statements provided under Rule 3-05. However, a company's underwriters will often require that a review of interim information be performed by its independent auditors for due-diligence or comfort purposes.

5.3 Acquired or to Be Acquired Real Estate Operations (SEC Regulation S-X, Rule 3-14)

As discussed in Section 5.2, Rule 3-05 usually requires a registrant and its predecessor to provide separate preacquisition historical audited financial statements for significant acquired or to be acquired businesses. However, Rule 3-14 permits a registrant and its predecessor to provide only carve-out abbreviated income statements for significant acquired or to be acquired real estate operations (real estate acquirees).[14] That is, Rule 3-14 does not require a registrant and its predecessor to present balance sheets, statements of changes in equity, or cash flow statements for the registrant's significant real estate acquirees.

There are other differences between Rule 3-14 and Rule 3-05. For example, Rule 3-14:

- Addresses only one significance test described in Rule 1-02(w) (i.e., the investment test).
- Does not have a tiered threshold for disclosure requirements (i.e., a single 20 percent threshold results in one year of audited statements).

[13] If an acquiree is identified as a predecessor, the audit must be performed in accordance with PCAOB standards. In certain circumstances, a reference to both auditing standards generally accepted in the United States (i.e., AICPA standards) and the standards of the PCAOB may be appropriate for a predecessor in an initial registration statement (i.e., if the entity does not meet the definition of an issuer).

[14] See footnote 3.

The audited abbreviated income statements described above are carve-out statements that are presented in the form of revenues and direct expenses. Rule 3-14(c)(1) indicates that the abbreviated income statements may exclude "expenses not comparable to the proposed future operations such as mortgage interest, leasehold rental, depreciation, amortization, corporate overhead and income taxes." Like the audits of financial statements filed under Rule 3-05, audits of such abbreviated financial statements filed under Rule 3-14 do not need to be performed in accordance with PCAOB standards. Entities that prepare carve-out financial statements for real estate acquirees are also PBEs and should consider the guidance in Section 5.2.2 regarding adoption dates.

Since these income statements are abbreviated and subject to the specific requirements of Rule 3-14, they are considered special-purpose financial statements. Auditors' reports on these financial statements would include an explanatory paragraph indicating the special purpose and the incomplete nature of the presentation of the results of operations, as discussed in AICPA SAS 122 (AU-C Section 805.24).

Further, Rule 3-14(c)(2) states:

> The notes to the financial statements must include the following disclosures:
>
> (i) The type of omitted expenses and the reason(s) why they are excluded from the financial statements;
>
> (ii) A description of how the financial statements presented are not indicative of the results of operations of the acquired real estate operation going forward because of the omitted expenses; and
>
> (iii) Information about the real estate operation's operating, investing and financing cash flows, to the extent available.

In addition, for each real estate operation for which financial statements are required, the registrant must provide certain supplemental information. Material factors the registrant considered when assessing the real estate operation must be described with specificity in the filing, along with sources of revenue (including, but not limited to, competition in the rental market, comparative rents, and occupancy rates) and expenses (including, but not limited to, utility rates, property tax rates, maintenance expenses, and capital improvements anticipated). The registrant must also assert that it is not aware of any other material factors related to the specific real estate operation that would cause the reported financial statements not to be indicative of future operating results.

For additional SEC interpretive guidance on Rule 3-14, see Chapter 3 of Deloitte's Roadmap *SEC Reporting Considerations for Business Acquisitions*.

5.4 Pro Forma Financial Information

Pro forma financial information allows investors to understand and evaluate the impact of a transaction by showing how that specific transaction (or group of transactions) might have affected the registrant's historical financial position and results of operations if the transaction had occurred at an earlier date. Article 11 lists several circumstances in which a registrant may be required to provide pro forma financial information, including when a significant business acquisition or disposition has occurred or is probable. For example, a registrant that sells or spins off a significant business must provide pro forma financial information reflecting such transaction. For additional guidance on preparation of pro forma financial information for an entity that has disposed of a significant portion of its business, see Chapter 8 of Deloitte's Roadmap *Impairments and Disposals of Long-Lived Assets and Discontinued Operations*.

In addition, a registrant that was previously part of another entity (e.g., a carve-out entity that is spun off) must present pro forma financial information in a registration statement to reflect its "operations and financial position" as an autonomous entity (see Rule 11-01(a)(7)).

The sections below provide additional insight into pro forma financial information for the carve-out entity.

5.4.1 Pro Forma Adjustments

There are two categories of required pro forma adjustments:

- *Transaction accounting adjustments* — These adjustments are limited to those that reflect the accounting for the transaction in accordance with U.S. GAAP or IFRS® Accounting Standards, as applicable. For an acquisition, such adjustments may include, among other items, the recognition of goodwill and intangible assets and adjustments of assets and liabilities to fair value on the balance sheet, as well as the related impacts on the statement of comprehensive income.
- *Autonomous entity adjustments* — These adjustments, which are only required if the registrant was previously part of another entity, reflect incremental expenses or other changes necessary to reflect the registrant's financial condition and results of operations as if it were a separate stand-alone entity. (See Section 5.4.2.)

In addition to the required adjustments noted above, the pro forma rules give registrants the flexibility to present, in the explanatory notes to the pro forma financial information, management's adjustments, that reflect synergies and dis-synergies related to acquisitions and dispositions. Management's adjustments also may provide insight into the potential effects of an acquisition or disposition and the plans that management expects to take after a transaction (which may include forward-looking information).

5.4.2 Autonomous Entity Adjustments

If a registration statement includes carve-out financial statements for a registrant in connection with an IPO or spin-off transaction, the pro forma financial statements for the carve-out entity must include autonomous entity adjustments, presented in a separate column from transaction accounting adjustments, if any, to reflect the incremental costs expected to be incurred as if the carve-out entity were a separate stand-alone entity.

At the 2021 AICPA & CIMA Conference on Current SEC and PCAOB Developments, the SEC staff addressed considerations related to distinguishing between autonomous entity adjustments and management's adjustments. The staff noted that changes to a carve-out entity's cost structure that are supported by a contractual arrangement may be considered autonomous entity adjustments (e.g., a new lease agreement or a transition services agreement with the former parent). By contrast, changes in a carve-out entity's costs that are not supported by contractual arrangements generally do not represent autonomous entity adjustments. However, such changes may represent synergies or dis-synergies that may be presented as management's adjustments if they meet the conditions in Regulation S-X, Rule 11-02(a)(7). The SEC staff also clarified that a registrant that presents synergies must separately present any related dis-synergies; the dis-synergies may not be presented "net" against the synergies.

For additional discussion of pro forma financial statement requirements, see Chapter 4 of Deloitte's Roadmap *SEC Reporting Considerations for Business Acquisitions*.

5.5 Rule 3-13 Waivers

There may be situations in which registrants wish to seek relief from complying with the various reporting requirements under SEC Regulation S-X. SEC Regulation S-X, Rule 3-13, gives the SEC staff the authority to permit the omission or substitution of certain financial statements otherwise required under Regulation S-X "where consistent with the protection of investors." While many of the recent amendments to the SEC rules are intended to modernize the requirements and are expected to reduce the number of waivers granted, registrants may still seek modifications to their reporting requirements under Rule 3-13[15] since the SEC staff continues to entertain those requests. The SEC staff has also indicated that it is available to discuss potential waiver fact patterns telephonically in advance of a registrant's submission of a written request.

Separately, registrants may also be faced with complex accounting matters. Registrants are encouraged to submit a prefiling letter to the SEC's Office of the Chief Accountant (OCA) on how they propose to apply U.S. GAAP to resolve these complex issues before filing. For best practices related to consulting with the OCA, see the guidance on the SEC's Web site.

For additional guidance on Rule 3-13 waivers and other requests, see Appendix B of Deloitte's Roadmap *SEC Comment Letter Considerations, Including Industry Insights*.

[15] Although a registrant may be granted relief from providing financial statements for a recently acquired business subject to Rule 3-05, we understand that it will still be required to file Form 8-K, Item 2.01, to disclose the acquisition's completion. The waiver under Rule 3-13 applies only to the financial statements and does not provide relief from the requirement to file Item 2.01.

Appendix A — Titles of Standards and Other Literature

AICPA Literature

Clarified Statement on Auditing Standards

AU-C Section 805.24, "Reporting on an Incomplete Presentation but One That Is Otherwise in Accordance With Generally Accepted Accounting Principles"

FASB Literature

ASC Topics

ASC 205, *Presentation of Financial Statements*

ASC 220, *Income Statement — Reporting Comprehensive Income*

ASC 230, *Statement of Cash Flows*

ASC 250, *Accounting Changes and Error Corrections*

ASC 260, *Earnings per Share*

ASC 275, *Risks and Uncertainties*

ASC 280, *Segment Reporting*

ASC 326, *Financial Instruments — Credit Losses*

ASC 350, *Intangibles — Goodwill and Other*

ASC 360, *Property, Plant, and Equipment*

ASC 405, *Liabilities*

ASC 420, *Exit or Disposal Cost Obligations*

ASC 450, *Contingencies*

ASC 505, *Equity*

ASC 715, *Compensation — Retirement Benefits*

ASC 718, *Compensation — Stock Compensation*

ASC 740, *Income Taxes*

ASC 805, *Business Combinations*

ASC 830, *Foreign Currency Matters*

ASC 842, *Leases*

ASC 845, *Nonmonetary Transactions*

ASC 850, *Related Party Disclosures*

ASC 855, *Subsequent Events*

SEC Literature

Final Rule Releases

No. 33-11275, *The Enhancement and Standardization of Climate-Related Disclosures for Investors* [stayed]

No. 33-11265, *Special Purpose Acquisition Companies, Shell Companies, and Projections*

FRM

Topic 4, "Independent Accountants' Involvement"

Topic 6, "Foreign Private Issuers and Foreign Businesses"

Regulation S-K

Item 10, "General"

Regulation S-X

Rule 1-02, "Definitions of Terms Used in Regulation S-X (17 CFR Part 210)"

Rule 3-01, "Consolidated Balance Sheets"

Rule 3-02, "Consolidated Statements of Comprehensive Income and Cash Flows"

Rule 3-03, "Instructions to Statement of Comprehensive Income Requirements"

Rule 3-04, "Changes in Stockholders' Equity and Noncontrolling Interests"

Rule 3-05, "Financial Statements of Businesses Acquired or to Be Acquired"

Rule 3-10, "Financial Statements of Guarantors and Issuers of Guaranteed Securities Registered or Being Registered"

Rule 3-13, "Filing of Other Financial Statements in Certain Cases"

Rule 3-14, "Special Instructions for Real Estate Operations to Be Acquired"

Rule 4-08, "General Notes to Financial Statements"

Article 5, "Commercial and Industrial Companies"

Rule 5-02, "Balance Sheets"

Article 8, "Financial Statements of Smaller Reporting Companies"

Rule 10-01, "Interim Financial Statements"

Article 11, "Pro Forma Financial Information"

Rule 11-01, "Presentation Requirements"

Rule 11-02, "Preparation Requirements"

Article 12, "Form and Content of Schedules"

SAB Topics

No. 1.B, "Financial Statements; Allocation of Expenses and Related Disclosure in Financial Statements of Subsidiaries, Divisions or Lesser Business Components of Another Entity"

No. 1.B.1, "Costs Reflected in Historical Financial Statements"

No. 5.Z.7, "Accounting for the Spin-Off of a Subsidiary"

No. 6.G, "Interpretations of Accounting Series Releases and Financial Reporting Releases; Accounting Series Releases 177 and 286 — Relating to Amendments to Form 10-Q, Regulation S-K, and Regulations S-X Regarding Interim Financial Reporting"

No. 6.G.2, "Amendments to Form 10-Q"

Appendix B — Abbreviations

Abbreviation	Description
AICPA	American Institute of Certified Public Accountants
AOCI	accumulated other comprehensive income
ASC	FASB Accounting Standards Codification
ASR	Accounting Series Release
ASU	FASB Accounting Standards Update
C&DI	SEC Compliance and Disclosure Interpretation
CAQ	Center for Audit Quality
CIMA	Chartered Institute of Management Accountants
CODM	chief operating decision maker
EGC	emerging growth company
EPS	earnings per share
ERISA	Employee Retirement Income Security Act of 1974
Exchange Act	Securities Exchange Act of 1934
FASB	Financial Accounting Standards Board
FRM	SEC Division of Corporation Finance's Financial Reporting Manual
FRR	Financial Reporting Release
GAAP	generally accepted accounting principles
ICFR	internal control over financial reporting

Abbreviation	Description
IFRS	International Financial Reporting Standard
IPO	initial public offering
IT	information technology
JOBS Act	Jumpstart Our Business Startups Act
LLC	limited liability company
MD&A	Management's Discussion & Analysis
OCA	SEC Office of the Chief Accountant
PBE	public business entity
PCAOB	Public Company Accounting Oversight Board
PCC	Private Company Council
PP&E	property, plant, and equipment
ROU	right-of-use
SAB	SEC Staff Accounting Bulletin
SAS	AICPA Statement on Auditing Standards
SEC	U.S. Securities and Exchange Commission
Securities Act	Securities Act of 1933
SPAC	special-purpose acquisition company
SRC	smaller reporting company

Appendix C — Roadmap Updates for 2024

The table below summarizes the substantive changes made in the 2024 edition of this Roadmap.

Section	Title	Description
On the Radar		Updated to highlight recent divestiture activity.
1.2.3	Spin-Offs and Reverse Spin-Offs	Clarified discussion of the differences between the financial statements of existing registrants and those of new registrants in spin-offs and reverse spin-offs.
2.8.5	Expected Credit Losses	Added section on the application of ASC 326-20 to loans and receivables for entities that are no longer under common control as a result of a carve-out transaction.
5.1	Financial Statements for a Registrant and Its Predecessor	Updated Changing Lanes to address the SEC's issuance of its final rules on climate-related disclosures and SPACs.

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